

- Pursuant to the relevant provisions of the Memorandum of Understanding (MOU) By and Between the Philippine Stock Exchange, Inc. (PSE) and the Securities and Exchange Commission (SEC) on the Listing of the PSE Shares on the PSE Trading Board, the Commission has caused the immediate posting of the foregoing disclosure/s in the PSE Electronic Disclosure Generation Technology System (PSE EDGE). This directive is being issued primarily for the purpose of ensuring the timely disclosure of information relating to PSE as a listed company and should not be construed as an approval by the Commission of the item/s being disclosed nor of any of the acts done by the PSE or it intends to do in relation to this disclosure. The PSE shall remain responsible for complying with the other requirements as mandated in the Securities Regulation Code (SRC) and other relevant laws and their respective rules and regulations. This approval is for the purpose of ensuring the immediate posting of the disclosure. Nothing herein precludes the Commission as the statutory regulator of the PSE as a registered exchange, as Self-Regulatory Organization and as an issuer of registered securities, to seek further clarification and/or information and to take appropriate action on the matter, including the imposition of penalty in case of violation of the SRC and its Implementing Rules and Regulations. Finally, the Commission, acting as the Exchange under the MOU, may also impose penalty in case of violation of the relevant PSE Rules.

SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-A, AS AMENDED

ANNUAL REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SECTION 141
OF THE CORPORATION CODE OF THE PHILIPPINES

1. For the fiscal year ended
Dec 31, 2020
2. SEC Identification Number
AN092002557
3. BIR Tax Identification No.
002-333-130
4. Exact name of issuer as specified in its charter
THE PHILIPPINE STOCK EXCHANGE, INC.
5. Province, country or other jurisdiction of incorporation or organization
Philippines
6. Industry Classification Code(SEC Use Only)
7. Address of principal office
6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City,
Taguig City
Postal Code
1634
8. Issuer's telephone number, including area code
(02) 8876-4888

9. Former name or former address, and former fiscal year, if changed since last report

Not Applicable

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Stock	81,892,297

11. Are any or all of registrant's securities listed on a Stock Exchange?

☒ Yes ☐ No

If yes, state the name of such stock exchange and the classes of securities listed therein:

The Philippine Stock Exchange, Inc

12. Check whether the issuer:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17.1 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports)

☒ Yes ☐ No

(b) has been subject to such filing requirements for the past ninety (90) days

☒ Yes ☐ No

13. State the aggregate market value of the voting stock held by non-affiliates of the registrant. The aggregate market value shall be computed by reference to the price at which the stock was sold, or the average bid and asked prices of such stock, as of a specified date within sixty (60) days prior to the date of filing. If a determination as to whether a particular person or entity is an affiliate cannot be made without involving unreasonable effort and expense, the aggregate market value of the common stock held by non-affiliates may be calculated on the basis of assumptions reasonable under the circumstances, provided the assumptions are set forth in this Form

N/A

**APPLICABLE ONLY TO ISSUERS INVOLVED IN
INSOLVENCY SUSPENSION OF PAYMENTS PROCEEDINGS
DURING THE PRECEDING FIVE YEARS**

14. Check whether the issuer has filed all documents and reports required to be filed by Section 17 of the Code subsequent to the distribution of securities under a plan confirmed by a court or the Commission.

☐ Yes ☒ No

DOCUMENTS INCORPORATED BY REFERENCE

15. If any of the following documents are incorporated by reference, briefly describe them and identify the part of SEC Form 17-A into which the document is incorporated:

(a) Any annual report to security holders

None

(b) Any information statement filed pursuant to SRC Rule 20

None

(c) Any prospectus filed pursuant to SRC Rule 8.1

None

The Exchange does not warrant and holds no responsibility for the veracity of the facts and representations contained in all corporate disclosures, including financial reports. All data contained herein are prepared and submitted by the disclosing party to the Exchange, and are disseminated solely for purposes of information. Any questions on the data contained herein should be addressed directly to the Corporate Information Officer of the disclosing party.



The Philippine Stock Exchange, Inc. PSE

PSE Disclosure Form 17-1 - Annual Report

*References: SRC Rule 17 and
Section 17.2 and 17.8 of the Revised Disclosure Rules*

For the fiscal year ended	Dec 31, 2020
Currency	Philippine Peso

Balance Sheet

	Year Ending	Previous Year Ending
	Dec 31, 2020	Dec 31, 2019
Current Assets	4,146,557,827	3,632,768,060
Total Assets	6,806,099,853	6,289,386,888
Current Liabilities	642,892,238	640,546,988
Total Liabilities	1,341,342,528	1,472,054,308
Retained Earnings/(Deficit)	2,135,932,312	1,476,117,923
Stockholders' Equity	5,464,757,325	4,817,332,580
Stockholders' Equity - Parent	5,235,603,910	4,644,515,761
Book Value Per Share	67.05	58.88

Income Statement

	Year Ending	Previous Year Ending
	Dec 31, 2020	Dec 31, 2019
Gross Revenue	1,527,081,156	1,601,724,127
Gross Expense	661,105,322	725,004,837
Non-Operating Income	0	0
Non-Operating Expense	0	0
Income/(Loss) Before Tax	865,975,834	876,719,289
Income Tax Expense	209,163,409	197,428,154
Net Income/(Loss) After Tax	656,812,425	679,291,135
Net Income/(Loss) Attributable to Parent Equity Holder	659,814,389	681,125,163
Earnings/(Loss) Per Share (Basic)	8.1	8.33
Earnings/(Loss) Per Share (Diluted)	8.1	8.31

Financial Ratios

	Formula	Fiscal Year Ended	Previous Fiscal Year
		Dec 31, 2020	Dec 31, 2019
Liquidity Analysis Ratios:			
;; Current Ratio or Working Capital Ratio	Current Assets / Current Liabilities	6.45	5.67
;; Quick Ratio	(Current Assets - Inventory - Prepayments) / Current Liabilities	6.41	5.64
;; Solvency Ratio	Total Assets / Total Liabilities	5.07	4.27
Financial Leverage Ratios			
;; Debt Ratio	Total Debt/Total Assets	0.2	0.23
;; Debt-to-Equity Ratio	Total Debt/Total Stockholders' Equity	0.25	0.31
;; Interest Coverage	Earnings Before Interest and Taxes (EBIT) / Interest Charges	0	0
;; Asset to Equity Ratio	Total Assets / Total Stockholders' Equity	1.25	1.31
Profitability Ratios			
;; Gross Profit Margin	Sales - Cost of Goods Sold or Cost of Service / Sales	79	78
;; Net Profit Margin	Net Profit / Sales	50	53
;; Return on Assets	Net Income / Total Assets	10	11
;; Return on Equity	Net Income / Total Stockholders' Equity	12	14
Price/Earnings Ratio	Price Per Share / Earnings Per Common Share	18.89	21.01

Other Relevant Information

Corrections in date of fiscal report

Filed on behalf by:

Name	Aissa Encarnacion
Designation	Corporate Information Officer

- Pursuant to the relevant provisions of the Memorandum of Understanding (MOU) By and Between the Philippine Stock Exchange, Inc. (PSE) and the Securities and Exchange Commission (SEC) on the Listing of the PSE Shares on the PSE Trading Board, the Commission has caused the immediate posting of the foregoing disclosure/s in the PSE Electronic Disclosure Generation Technology System (PSE EDGE). This directive is being issued primarily for the purpose of ensuring the timely disclosure of information relating to PSE as a listed company and should not be construed as an approval by the Commission of the item/s being disclosed nor of any of the acts done by the PSE or it intends to do in relation to this disclosure. The PSE shall remain responsible for complying with the other requirements as mandated in the Securities Regulation Code (SRC) and other relevant laws and their respective rules and regulations. This approval is for the purpose of ensuring the immediate posting of the disclosure. Nothing herein precludes the Commission as the statutory regulator of the PSE as a registered exchange, as Self-Regulatory Organization and as an issuer of registered securities, to seek further clarification and/or information and to take appropriate action on the matter, including the imposition of penalty in case of violation of the SRC and its Implementing Rules and Regulations. Finally, the Commission, acting as the Exchange under the MOU, may also impose penalty in case of violation of the relevant PSE Rules.

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Price/Earnings Ratio	Price Per Share / Earnings Per Common Share	18.89	21.01

Other Relevant Information

Attached the correct Annex C – Audited Parent Financial Statement

Filed on behalf by:

Name	Aissa Encarnacion
Designation	Corporate Information Officer

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; ; Return on Equity	Net Income / Total Stockholders' Equity	12	14
Price/Earnings Ratio	Price Per Share / Earnings Per Common Share	18.89	21.01

Other Relevant Information

None.

Filed on behalf by:

Name	Aissa Encarnacion
Designation	Corporate Information Officer

COVER SHEET

A N 0 9 2 0 0 2 5 5 7

S.E.C. Registration Number

T H E P H I L I P P I N E

S T O C K

E X C H A N G E

I N C .

(Company's Full Name)

6 T H T O 1 0 T H F L O O R S , P S E T O W E R ,

5 T H A V E N U E C O R N E R 2 8 T H S T R E E T ,

B O N I F A C I O G L O B A L C I T Y ,

T A G U I G C I T Y

(Business Address: No. Street/City/Town/Province)

AISSA V. ENCARNACION
Corporate Secretary

Contact Person

(632) 8876-4888

Company Telephone Number

Month Day

ANNUAL REPORT
SEC FORM 17-A
FORM TYPE

Month

Secondary License Type, if Applicable

Dept. Requiring this Doc.

Amended Articles Number/Section

Total Amount of Borrowings

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-A

ANNUAL REPORT PURSUANT TO SECTION 17
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1. For the fiscal year ended December 31, 2020
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4. Exact name of issuer as specified in its charter THE PHILIPPINE STOCK EXCHANGE, INC.

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Province, Country or other
jurisdiction of incorporation or
organization
6.  (SEC Use Only)
Industry Classification Code:

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28th Street, Bonifacio Global City, Taguig City
Address of principal office 1634
Postal Code

8. (02) 8876-4888
Issuer's telephone number, including area code

9. _____
Former name, former address, and former fiscal year, if changed since last report.

10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

Title of Each Class	Number of Outstanding Outstanding	Shares of and Amount of	Stock of Debt
<u>Common Stock</u>	<u>81,892,297</u>		
<u>Preferred Stock</u>	<u>0</u>		

11. Are any or all of these securities listed on a Stock Exchange.

Yes [X] No []

If yes, state the name of such stock exchange and the classes of securities listed therein:

12. Check whether the issuer:

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Yes ☒ No ☐

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

13. Aggregate value of the voting stock held by non-affiliates: N/A

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I. BUSINESS AND GENERAL INFORMATION

Item 1. Business

Description of Registrant

The Philippine Stock Exchange, Inc. was incorporated on July 14, 1992 as a non-stock corporation and later became a stock corporation on August 3, 2001. On December 15, 2003, pursuant to the demutualization mandate of Republic Act No. 8799, or the Securities Regulation Code (SRC), the Company's outstanding capital stock was listed by way of introduction. On February 18, 2004, the Company sold 6,077,505 shares from its unissued stock to five strategic investors by way of private placement that was approved by the Securities and Exchange Commission (SEC). The strategic investors were the PLDT Beneficial Trust Fund, SMC Retirement Fund, Government Service Insurance System, Kim Eng Investment, Ltd., and KE Strategic Pte. Ltd.

The Company's revenues are primarily derived from listing-related and trading-related fees. The Company charges listing fees for initial public offerings and additional listings, and for annual listing maintenance. Meanwhile, trading revenues are primarily comprised of transaction fees, subscription fees, and service fees related to clearing and settlement. Other sources of revenue are membership, data feed, and miscellaneous fees.

Description of Subsidiaries and Affiliates

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary organized primarily as a clearing and settlement agency for SCCP-eligible trades executed through the facilities of the Company. SCCP is responsible for: (a) synchronizing the settlement of funds for transactions of clearing members and the transfer of securities through Delivery versus Payment (DVP) clearing; (b) the administration of the Clearing and Trade Guaranty Fund (CTGF) and guaranteeing the settlement of trades through the implementation of its Fails Management System in the event of a Trading Participant's default; and (c) performance of Risk Management and Monitoring to ensure final and irrevocable settlement.

The Capital Markets Integrity Corporation (CMIC) is also a wholly-owned subsidiary. It functions as the independent audit, surveillance and compliance unit of the Company, having taken over the functions of the former Market Regulation Division of the Company. CMIC operates to ensure the integrity of the capital market and has jurisdiction to investigate all violations of the SRC and CMIC Rules by Trading Participants, and investigate trading-related irregularities and unusual trading activities committed by Issuers. The SEC granted CMIC its authority to operate as the independent audit, surveillance and compliance unit of the Company with provisional self-regulatory organization (SRO) status on February 2, 2012.

The Company is also a shareholder of the Philippine Dealing System Holdings Corporation (PDSHC), the holding company of the Philippine Dealing & Exchange Corporation (PDEX), otherwise known as the Fixed Income Exchange (FIE), the Philippine Depository & Trust Corp. (PDTC) and the Philippines Securities Settlement Corporation (PSSC). As of February 29, 2016, the Company is a stockholder of record of 1,311,439 shares, or 20.98%, of all of the issued and outstanding shares.

In April 2019, the PSE incorporated Premier Software Enterprise, Inc. (Premier), a separate IT subsidiary, to enable the Company to meet the growing demand for technology services related to its various initiatives. Premier offers software development services focused on building innovative trading solutions and servicing the technology needs of the Exchange and its stakeholders. The Company owns an 80% stake in Premier.

Item 2. Properties

The Company is the registered owner of the office at the PSE Plaza along Ayala Avenue, Makati City.

On May 19, 2015, the Company and Fort Bonifacio Development Corporation signed a Contract to Sell for the purchase by the Company of office units in Bonifacio Global City to house the Company's new headquarters and offices.

Item 3. Legal Proceedings

None of the directors or senior officers are involved in any material pending legal proceedings in any court or administrative agency.

During the past five (5) years and until the present, the Company, its directors and executive officers in their official capacities have not been involved in any other legal proceedings in their capacity that will have a material adverse effect on its operations or financial condition except the following:

The Philippine Stock Exchange, Inc. vs. Antonio K. Litonjua and Aurelio K. Litonjua, Jr.

[Filed with the Supreme Court as GR No. 204014]

This is a Petition for Review on Certiorari filed by the Company with the Supreme Court to annul the Decision dated May 24, 2012 and Resolution dated October 17, 2012 of the Court of Appeals in CA-G.R. No. CV-95300, which affirmed the February 22, 2010 Decision of RTC Pasig, Branch 154 in Civil Case No. 70985.

Said civil case involved a Complaint for Collection of Sum of Money filed against the Exchange, praying that the Exchange be directed to refund and/or reimburse the payment made by the Litonjuas for the acquisition of the membership/seat of Trendline Securities, plus interest and moral and exemplary damages.

On February 22, 2010, RTC Pasig, Branch 154 rendered a decision directing the PSE to pay the plaintiffs the amount of (i) Php19,000,000.00 plus 12% interest per annum from July 26, 2006; (ii) Php1,000,000.00 as exemplary damages; (iii) Php100,000.00 as attorney's fees; and (iv) cost of suit.

The Court of Appeals affirmed the decision of RTC Pasig, Branch 154 in its Decision dated May 24, 2012. The Company's Motion for Reconsideration was likewise denied by the Court of Appeals in a Resolution issued on October 17, 2012. In a Decision dated December 5, 2016, the Supreme Court denied the Company's Petition for Certiorari and upheld the Decision

of the Court of Appeals. The Supreme Court ordered the Company to pay to the Litonjua Group the following amounts: (i) Php19 million with interest of 6% *per annum* from the date of demand on 30 July 2006; (ii) exemplary damages in the amount of Php1 million; (iii) attorney's fees in the amount of Php100,000.00; and (iv) cost of suit. The Company filed a Motion for Reconsideration on January 25, 2017. In a Resolution dated December 13, 2017, the Supreme Court denied the Company's Motion for Reconsideration with finality.

The Philippine Stock Exchange, Inc., Bankers Association of the Philippines, Philippine Association of Brokers and Dealers, Inc., Fund Managers Association of the Philippines, Trust Officers Association of the Philippines and Marmon Holdings, Inc. vs. Secretary of Finance, Commissioner of Internal Revenue and Chairperson of the Securities and Exchange Commission

[Filed with the Supreme Court as G.R. No. 213860]

This is a Petition for Certiorari and Prohibition with Application for Issuance of TRO and/or Writ of Preliminary Injunction to enjoin the Secretary of Finance, Commissioner of Internal Revenue and Chairperson of the Securities and Exchange Commission from further enforcing and implementing Revenue Regulations No. 01-2014 and Revenue Memorandum Circular No. 05-14 insofar as they prohibit the naming of the PCD Nominee as the payee for dividend payments made by listed companies and SEC Memorandum Circular No. 10-2014 in its entirety (collectively, the "subject regulations").

In a Resolution dated September 9, 2014, the Court issued a temporary restraining order enjoining the respondents from further enforcing the subject regulations. The TRO is effective until further orders from the Court.

Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan vs. PSE, PSE NOMELEC and SEC

[Filed with RTC-159, Pasig City as Civil Case No. 10-139]

This case pertains to a petition for injunctive relief filed against the Securities and Exchange Commission (SEC), the Company and the Company's NOMELEC to allow trading participants to fully vote their shares in the Company. This was filed in response to the SEC's directive to limit the voting rights of trading participants to 20% pursuant to Section 33.2(c) of the Securities Regulation Code.

The trial court issued an order dated April 28, 2010 and the corresponding writ of preliminary injunction dated April 29, 2010 which allowed all trading participants to vote their entire shareholdings in the Company in the May 1, 2010 elections for the Company's Board of Directors.¹

On May 5, 2011, the trial court issued an order and writ of preliminary injunction

enjoining the SEC and the Company's NOMELEC from imposing the 20% ownership limitation until such time that the vital issues in the petition are resolved and, in effect, allowing all shareholders to vote their entire shareholdings during the May 14, 2011 elections for the Company's Board of Directors. On February 8, 2012, the trial court denied the motion for reconsideration filed by the SEC.

In a decision dated April 23, 2014, the trial court granted the petition, enjoined SEC, PSE and PSE Nomelec from imposing any limitation or restriction on the right of PASBDI and the individual petitioners to vote their entire shareholdings and declared permanent the writs of preliminary injunction. The SEC filed a Motion for Reconsideration which the trial court also denied on August 1, 2014. SEC filed an appeal with the Court of Appeals, as discussed below.

Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan vs. PSE, PSE NOMELEC and SEC

[Filed with the Court of Appeals as CA G.R. SP No. 103548. This case stemmed from the decision dated April 23, 2014 of RTC-159, Pasig City in Civil Case No. 10-139, which granted PASBDI, et al.'s petition and declared permanent the writs of preliminary injunction as well as the order dated August 1, 2014 which denied SEC's motion for reconsideration of the April 23, 2014 decision]

This case pertains to the appeal filed by the SEC assailing the decision dated April 23, 2014 and order dated August 1, 2014 of RTC-159, Pasig City which granted PASBDI, et al.'s petition in Civil Case No. 10-139 and denied SEC's motion for reconsideration of the April 23, 2014 decision, respectively.

In an order dated September 19, 2014, the Court of Appeals gave due course to the Notice of Appeal filed by SEC. Consequently, the parties filed their respective appellee's and appellants' briefs. On January 27, 2016, the PSE and PSE Nomelec filed their Rejoinder to SEC's Consolidated Reply Brief. On January 24, 2019, the Court of Appeals denied the appeal and affirmed the decision of RTC-159, Pasig City which granted PASBDI's petition for injunction.

SEC vs. Hon. Bonifacio, Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan, PSE, PSE NOMELEC.

[Filed with the Supreme Court as G.R. No. 198425. This case stemmed from the decision of the Court of Appeals in CA-G.R.SP No. 114413 concerning the Order dated April 28, 2010 and Writ of Preliminary Injunction dated April 29, 2010 issued by RTC-159, Pasig City in Civil Case No. 10-139 entitled "Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco,

Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan vs. PSE, PSE NOMELEC and SEC et. al.”]

This case stemmed from a petition for certiorari and prohibition filed by the SEC in the Court of Appeals seeking the reversal and nullification of the order dated April 28, 2010 and the corresponding writ of preliminary Injunction dated April 29, 2010 issued by Judge Bonifacio in Civil Case No. 10-139. The SEC prayed for an order restraining the proceedings in the trial court for lack of jurisdiction and ordering the nullification of the May 1, 2010 elections for the Company's Board of Directors.

On April 11, 2011, the Court of Appeals rendered a decision dismissing the petition and affirming the writ of preliminary injunction issued by Judge Bonifacio in Civil Case No. 10-139.

The motion for reconsideration filed by SEC was also denied by the Court of Appeals. Thereafter, the SEC appealed the decision to the Supreme Court.

Pursuant to the Resolution dated December 5, 2011 issued by the Supreme Court, the Company filed its comment on May 6, 2012. No temporary restraining order has been issued in the case.

The case has been consolidated with G.R. No. 201174, as discussed below. On March 17, 2015, PSE filed its Consolidated Memorandum. The petition remains pending.

SEC vs. Hon. Bonifacio, Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan, PSE, PSE NOMELEC.

[Filed with the Supreme Court as G.R. No. 201174. This case stemmed from the Orders dated May 5, 2011 and February 8, 2012 issued by RTC-159, Pasig City in Civil Case No. 10-139 entitled “Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan vs. PSE, PSE NOMELEC and SEC et. al.”]

This case pertains to a petition for certiorari (with application for TRO and/or writ of preliminary injunction) filed by the SEC directly with the Supreme Court, seeking the reversal and nullification of the orders dated May 5, 2011 and February 8, 2012 issued by Judge Bonifacio in Civil Case No. 10-139. The SEC also prayed for an order dismissing PASBDI's and the individual petitioners' petition for injunction in the trial court for lack of jurisdiction.

Pursuant to the Resolution dated June 18, 2012 issued by the Supreme Court, the Company filed its comment on October 8, 2012. No temporary restraining order has been issued in the case.

The case has been consolidated with G.R. No. 198425. On March 17, 2015, PSE filed its Consolidated Memorandum. The petition remains pending.

DW Capital, Inc. vs. The Philippine Stock Exchange, Inc.

[Filed with the Court of Appeals as CA-G.R. No. 153973]

This is a Petition for Review filed by DW Capital, Inc. ("DWCI"), seeking to reverse and set aside the December 5, 2017 Order of the Securities and Exchange Commission ("SEC") which directed the Company to take over the operations of DWCI ("Take-over Order"). The Court of Appeals denied the Petition and affirmed the Take-over Order issued by the SEC.

DWCI filed a Motion for Reconsideration, which was likewise denied by the Court of Appeals in a Resolution dated February 22, 2019.

Other than the aforementioned cases, the Company is not aware of any case concerning directors and officers which involves:

- any bankruptcy petition filed by or against any business of which any of its incumbent directors or executive officers was a general partner or an executive officer either at the time of bankruptcy or within two years prior to that time;
- any conviction by final judgment in a criminal proceeding, domestic or foreign, or any criminal proceeding, domestic or foreign, pending against any of the incumbent directors or executive officers;
- any order, judgment or decree, not subsequently reversed, suspended or vacated, of any court or competent jurisdiction, domestic or foreign, permanently or temporarily enjoining, barring, suspending or otherwise limiting the involvement of any of the incumbent directors or executive officers in any type of business, securities, commodities, or banking activities; and
- any finding by a domestic or foreign court of competent jurisdiction (in civil action), the SEC or comparable foreign body, or a domestic or foreign exchange or electronic marketplace or self-regulatory organization, that any of the incumbent directors or executive officers has violated a securities or commodities law, and the judgment has not been reversed, suspended or vacated.

II. OPERATIONAL AND FINANCIAL INFORMATION

Item 5. Market for Issuer's Common Equity and Related Stockholder Matters

1) Principal market where the registrant's common equity is traded:

The common stock of the Company is listed in The Philippine Stock Exchange, Inc.

Stock Prices

The high and low prices of the Company's shares in the stock exchange for each quarter of fiscal years 2018, 2019, and 2020, are as follows:

2018	High	Low
Q1	P259.80	P237.13
Q2	P237.80	P190.00
Q3	P205.20	P185.00
Q4	P190.30	P169.00
2019	High	Low
Q1	P200.00	P177.60
Q2	P199.60	P174.00
Q3	P195.00	P176.00
Q4	P179.60	P172.00
2020	High	Low
Q1	P179.50	P132.00
Q2	P175.00	P156.70
Q3	P170.00	P153.00
Q4	P177.00	P153.50

In 2020, the highest and lowest prices of the Company's shares were P179.50 and P132.00, respectively. The stock price of the Company closed at P152.00 on 27 April 2021.

The number of shareholders of record as of 31 March 2021 is 311. The total number of shares outstanding as of 31 March 2021 is 81,892,297 with a par value of P1.00.

The top twenty (20) holders as of 31 March 2021 are as follows:

	Stockholder		Nationalit	No. of Shares	Amount	Percentage
1	PCD Nominee Corp.		Filipino	59,960,991	59,960,991.00	73.22%
	The First Resources Management and Securities Corp.			7,877,761	7,877,761.00	9.62%
	Banco de Oro Trust Banking Group			7,173,200	7,173,200.00	8.76%
	Lucky Securities, Inc.			7,225,518	7,225,518.00	8.82%

		Government Service Insurance System		6,673,201	6,673,201.00	8.15%
		BDO Securities Corporation		4,597,843	4,597,843.00	5.61%
		Venture Securities		4,514,009	4,514,009	5.51%
2	San Miguel Corporation Retirement Plan		Filipino	7,555,200	7,555,200.00	9.23%
3	PCD Nominee Corp.		Other Alien	3,734,011	3,734,011.00	4.56%
4	Freeman Trading Limited		Hong Kong	1,000,000	1,000,000.00	1.22%
5	BA Securities, Inc. FAO No. 06-324		Chinese	813,660	813,660.00	0.99%
6	Raymond M. Moreno		Filipino	500,000	500,000.00	0.61%
7	Raymond John L. Moreno		Filipino	500,000	500,000.00	0.61%
8	The First Resources Management and Securities Corp.		Filipino	321,360	321,360.00	0.39%
9	Ansaldo Godinez & Company, Inc.		Filipino	240,000	240,000.00	0.29%
10	Chan, Vicky L.		Filipino	240,000	240,000.00	0.29%
11	Chia Kim Teck		Singaporean	240,000	240,000.00	0.29%
12	Christfund Securities (Phils.), Inc.		Filipino	240,000	240,000.00	0.29%
13	DBS Vickers Securities (Phils.), Inc.		Filipino	240,000	240,000.00	0.29%
14	Five Karats Property Holdings, Inc.		Filipino	240,000	240,000.00	0.29%

15	Go, Genevieve W. J.		Filipino	240,000	240,000.00	0.29%
16	Highland Securities Phils. Inc.		Filipino	240,000	240,000.00	0.29%
17	JSG Securities, Inc.		Filipino	240,000	240,000.00	0.29%
18	Marian Securities, Inc.		Filipino	240,000	240,000.00	0.29%
19	Mark Securities Corporation		Filipino	240,000	240,000.00	0.29%
20	May Blanche Cheng Chong		Filipino	240,000	240,000.00	0.29%

As of 31 December 2020, the Company's public float level is at 65.99%.

2) Dividends

Dividends per Share:

P7.00 in 2012

P9.00 in 2013

P9.00 in 2014

P9.00 in 2015,

P7.00 in 2016, broken down as P4.29 regular dividend and P2.71 special cash dividend to stockholders of record as of 30 March 2016 payable on 25 April 2016,

P7.00 in 2017, broken down as P4.78 regular cash dividend and P2.22 special cash dividend to stockholders of records as of 31 March 2017 payable on 27 April 2017,

P9.00 in 2018, broken down as P5.24 regular cash dividend and P3.76 special cash dividend to stockholders of record as of 8 February 2018 payable on 6 March 2018,

P8.80 in 2019, broken down as P4.45 regular cash dividend and P4.35 special cash dividend to stockholders of record as of 12 April 2019 payable on 10 May 2019.

Dividend Policy

The Company adopts a policy for the declaration of regular cash dividend out of the unrestricted retained earnings equivalent to fifty percent (50%) of the Company's audited net income. However, the Company can also declare special dividends, which it has done so for the past few years, in addition to the regular dividend policy. The declaration of regular and special dividends is dependent on the cash flow, business plan and financial condition of the Company.

3) Recent Sale of Unregistered/Exempt Securities

The common shares granted to eligible employees pursuant to the Employee Stock Purchase Plan ("ESPP") is an exempt transaction under Section 10.2 of the Securities Regulation Code, as stated under Resolution No. 179 Series of 2008 of the Securities and Exchange Commission.

At the annual meeting of the stockholders of the Company held on 2 November 2020, the Stockholders approved, by a vote representing at least 2/3 of the outstanding capital stock, the Employee Stock Purchase Plan for 2021-2023, pursuant to Resolution No. 56, Series of 2020 of the Board of Directors, with the following terms and conditions:

Number of Shares	300,000 common shares
Term	Three years from January 1, 2021 to December 2023
Offer schedule	100,000 shares annually
Administration	ESPP Committee
Purpose	• Encourage employees to become part owners of the PSE and align their interests with those of stockholders • Enhance employees' loyalty and performance • Employee retention • Investment opportunity
Eligible participants	Employees of PSE and SCCP with at least 1 year of continuous service and in good standing (not under any disciplinary action or no infractions within the last 12 months)
Price	20% discount to 30-day VWAP
Vesting	33.3% in year 1, 66.7% in year 2, and 100% in year 3
Payment	Salary deduction for 3 years
Holding Period	2 years, subject to full payment of the subscription price
Voting rights and dividends	Participants are entitled upon becoming stockholders of record
Issuance of stock certificates	Upon full payment of shares
Payment of taxes and administration costs	Shouldered by PSE

Subscription limit	Such number of shares as shall be covered by the lower of: 50% of annual net pay, or 20% of annual gross salary
Separation	An employee who separates from PSE and SCCP and: 1. is in good standing; 2. has completed at least 12 months of installment payments; and 3. is resigning after 6 months of the current vesting period has the option to buy the remaining shares of the current period in full within 30 days. The holding period remains applicable.
Termination for Cause	In case of termination for cause, Participant shall lose the privilege to purchase the ESPP shares that are not yet fully vested as of the date of termination and any outstanding subscription shall become null and void.

Item 6. Management's Discussion and Analysis or Plan of Operation

2020 vs. 2019

For the year ended December 31, 2020, operating revenues amounted to ₱1.31 billion, 1.81% or ₱23.41 million higher than the 2019 level.

- Listing-related fees, which comprised 45.23% of operating revenues, contributed an increase of ₱9.75 million or 1.67% in 2020 primarily due to 4.74% or ₱15.68 million higher listing fees. Effective January 1, 2019, the Exchange adopted the requirements of PFRS 15 on revenue from listing fees, under the modified retrospective approach. Under this method, PFRS 15 can be applied either to all contracts at the date of initial application or only to contract that are not completed at this date. The Exchange elected to apply the method only to those contracts that are not completed as at January 1, 2019. The Exchange recognized its revenue from listing fees over time using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. Before the adoption of PFRS 15, revenues from listing fees were recognized upon listing
- Revenue from trading-related fees, which made up 25.89% of operating revenues, went up by ₱13.18 million or 4.03%. This was brought about by ₱9.43 million or 8.02% increase in data feed income and ₱3.92 million or 12.15% higher subscription fees.

Total expenses (cost of services and administrative expenses) of the Company declined by a total of ₱63.90 million from ₱725 million in 2019 to ₱661.10 million in 2020 or a decrease of 8.81%. The following were the significant changes in expense items:

- Compensation and other related staff costs, 32.94% of total expenses, went down by 8.63% or ₱20.57 million mainly due to the unfilled positions in 2020;
- depreciation expenses, 23.80% of total expenses, went down by 12.65% or by ₱22.78 million due to assets that reached its full depreciation within the year 2020.
- repairs and maintenance, 17.31% of total expenses, went up by ₱9.03 million or 8.57% mainly due to additional maintenance costs of storage area network and software;
- professional fees, 10.58% of total expenses, went down by ₱6.14 million or 8.07% due to lower number of board and committee meetings;
- occupancy costs, 6.90% of total expenses, was lower by 10.61% or by ₱5.41 million because of lower consumption of utilities and reduced number of security and housekeeping personnel;
- taxes and licenses, 1.92% of total expenses, decreased by ₱10.20 million or 44.56% because 2019 included the realty tax expense for the PSE Building in Taguig City;
- market development expenses went down by 48.36% or by ₱1.64 million mainly due to the cancellation of certain activities in view of the ECQ;
- insurance went up by 12.39% or ₱0.24 million due to higher insurance premium cost for directors' and officers' liability insurance;
- donations and contributions increased by ₱2.72 million due to donations of relief goods to indigent families of Taguig City;
- trading participants' development expenses went down by 55.03% or ₱2.87 million as a result to cancellation of certain activities due to ECQ;
- meetings and conferences declined by 59.90% or ₱0.73 million due to lower number of board meetings and also because virtual instead of face-to-face meetings were conducted from the start of the quarantine period up to end of 2020;
- travel and transportation expenses decreased by 53.15% or ₱1.12 million mainly due the combined effect of lower gasoline and limited travels (domestic and foreign) in view of the pandemic;
- public relations went down by ₱0.60 million or by 10.23% due to lower costs incurred for representation and investor relation activities; and
- Other expenses went down by 32.91% or ₱3.82 million mainly because 2019 included the cost of filing fees paid to the Securities and Exchange Commission and Philippine Competition Commission in relation to the incorporation of PSE Realty Company.

Other income of ₱212.72 million went down by 31.55% or by ₱98.06 million from last year's ₱310.78 million mainly due to ₱84.85 million lower interest income in view of lower interest rates in 2020 compared with 2019 and ₱30.92 million mark-to-market loss on equity funds.

The above net changes have resulted to a net income after tax amounting to ₱656.81 million, down by 3.31% or ₱22.48 million from previous year's net income of ₱679.29 million.

Total assets as of December 31, 2020 amounted to ₱6.81 billion, higher by 8.22% or by ₱516.71 million from its level last year. The analyses of its components are as follows:

Cash and cash equivalents amounted to ₱676.12 million, 9.93% of total assets, were lower by 78.37% or by ₱2.45 billion than the 2019 level due to the investment of the proceeds of matured time deposits in government securities.

Receivables went up by 18.75% or by ₱15.29 million mainly due to higher accrual of data feed fees.

Financial assets at fair value through profit or loss of ₱289.94 million, 4.26% of total assets and 6.91% of total investments, pertained mainly to the equity funds managed by Banco de Oro and Metro Bank under a purely discretionary mandate. The said mandate, which is covered by an Investment Management Agreement, started in April 2011.

Other current assets went up by ₱27.65 million or 50.72% mainly due to higher prepayments of sun servers and security maintenance in 2020.

Short-term financial assets at FVOCI as at December 31, 2020 amounted to ₱3.00 billion, 44.10% of total assets and 71.53% of total investments, pertained to government securities and corporate bonds with interest rates ranging from 1.038% to 6.5% and 4.16% to 5.10%, respectively.

Long-term financial assets at FVOCI of ₱617.59 million, 9.07% of total assets and 14.72% of total investments, consisted of investments in retail treasury bonds, fixed income treasury notes, and corporate bonds which will mature starting 2022 until 2032 with interest rates ranging from 3.25% to 6.25%.

Property and equipment, 18.40% of total assets, was higher by ₱250.82 million or 0.48%.

Right-of-use assets of ₱52.22 million pertained to the unamortized portion of the present values of the lease contracts for the data recovery sites of the Parent Company and office space of Premier Software Enterprise, Inc. in compliance with PFRS 16 on Leases. Investment property of ₱287.17 million pertained to land rights, building and building improvements of Exchange Plaza which was reclassified to this account from Property and equipment due to the change in use of the property as evidenced by the end of the owner-occupation. The account is higher by 8.40% or ₱11.78 million due to the cost of on-going construction, which started in 2020.

Investment in an associate, 4.22% of total assets and 6.84% of total investments, pertained to the 20.98% equity of PSE in PDS Holdings Corporation (PDSHC). The account increased by ₱19.24 million or 7.18% from ₱267.94 million to ₱287.17 million due to the recognition of PSE's share in PDSHC's net income for 2020 reduced by the amount of cash dividend received from the latter during the year.

Pension asset amounting to ₱2.29 million, as at December 31, 2020, pertain to the fair value of the assets of the Parent Company's retirement plan, net of the present value of retirement obligation and asset ceiling under Amended PAS 19(R). The assets are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP has an unfunded noncontributory defined benefit retirement plan covering all regular employees. The benefits are accumulated based on years of service and compensation per year of credited service. CMIC, on the other hand, does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days' Pay for every year

of credited service. The pension liability amounted to ₱25.99 million and ₱20.71 million in 2020 and 2019, respectively, or an increase of 25.49% or ₱5.28 million.

Deferred tax assets of ₱271.07 million pertained primarily to the retrospective adjustment in 2019 of the beginning balance of retained earnings and the corresponding recognition of contract liability for deferred listing fees in compliance with PFRS 15, which was implemented in 2019.

Current liabilities, which accounted for 11.76% of total liabilities and stockholders' equity, went up by ₱2.34 million or by 0.37% from ₱640.55 million to ₱642.89 million. Of the latter amount, 50.77% or ₱326.42 million represented trade and other payables while 38.91% or ₱250.15 million represented the current portion of contract and lease liabilities.

Noncurrent liabilities went down by 16% or by ₱133.06 million because of the recognition of the amortized portions and the reclassification of the current portions of contract and lease liabilities.

The Exchange remained liquid with a working capital of ₱3.50 billion or a current ratio of 6.45:1.

Total retained earnings amounted to ₱2.14 billion. This included the net income of ₱656.81 million, donated capital of ₱211.60 million and appropriated retained earnings of ₱121 million.

Capital Expenditures

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building.

As at December 31, 2020, the Building included in the property and equipment account of ₱1.06 billion pertained to the cost of BGC office units and corresponding fit-out works.

Liquidity

The Company has been paying its trade payables within the stated trade terms. As of December 31, 2020, the Exchange had no note, loan, or other indebtedness or financing arrangement requiring the Company to make payments.

On August 13, 2014, the Exchange's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion.

On October 7, 2014, the Exchange and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Exchange of BAP's 28.90% stake in PDSHC.

On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of ₱2.25 billion.

On May 27, 2015, the Exchange's BOD authorized the obtainment of a clean term loan in the total amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange has signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc. ("FINEX"), Whistler Technology Services, Inc. ("WTSI") and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 shares or 28.91%, 192,776 shares or 3.08%, 500,000 shares or 8.00% and 193,776 shares or 3.0844%, respectively.

On January 26, 2016, the Exchange submitted regulatory requirements to SEC.

On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed.

On June 15, July 6, August 25, September 26, 2017 and November 8, 2017, the Exchange has signed SPAs with the shareholders of PDSHC, such as BAP, WTSI, Investment House of Association of the Philippines ("IHAP") and Philippine American Life and General Insurance Co. ("Philam") and FINEX, for the newly proposed purchase by the Exchange of 1,466,800 common shares or 23.47%, 500,000 common shares or 8.00%, 36,446 common shares or 0.58%, 250,000 common shares or 4.00%, and 192,776 common shares or 3.08%, respectively.

On September 13, 2017, the Exchange's BOD authorized the obtainment of a one-year loan in the amount of 1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. As at December 31, 2017, there are no new loans availed by the Exchange.

On September 28, 2017, BOD of PDSHC declared cash dividends in the amount of 56 per share in favor of all shareholders on record as of June 30, 2017 payable on or before October 15, 2017.

On October 5, 2017, the Exchange entered into a loan agreement with Bank of Commerce amounting to 1,000.00 million. As at February 28, 2018, the Exchange has not yet made any drawdown to the loan.

On November 30, 2017, the proposed acquisition is deemed approved by the Philippine Competition Commission.

On January 12 and 15, 2018, the Exchange has signed SPAs with San Miguel Corporation ("SMC") and Tata Consulting Services Asia-Pacific Pte. Ltd. ("TCS") for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively.

On March 31, 2018, the SPAs with BAP, WTSI, IHAP, Philam, FINEX and SMC were automatically terminated due to the non-satisfaction of closing conditions on the target Closing Date. The SPA with TCS automatically lapsed on July 2, 2018.

2019 vs. 2018

For the year ended December 31, 2019, operating revenues amounted to ₱1.29 billion, 19.12% or ₱305.26 million lower than the 2018 level.

- Listing-related fees, which comprised 45.30% of operating revenues, went down by ₱253.52 million or 30.24% in 2018 primarily due to 42.25% or ₱242.04 million lower listing fees. Effective January 1, 2019, the Exchange adopted the requirements of PFRS 15 on revenue from listing fees, under the modified retrospective approach. Under this method, PFRS 15 can be applied either to all contracts at the date of initial application or only to contract that are not completed at this date. The Exchange elected to apply the method only to those contracts that are not completed as at January 1, 2019. The Exchange recognized its revenue from listing fees over time using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. Before the adoption of PFRS 15, revenue from listing fees was recognized upon listing. Please see Note 2 to the Consolidated Financial Statements for the effects of adopting PFRS 15 on revenue from listing fees as at January 1, 2019 as well as the impact on each financial line item as at and for the year ended December 31, 2019. Note 2 also discusses the approval by the Securities and Exchange Commission of the deferral of the application of PFRS 15 on revenue from listing fees from January 1, 2018 to January 1, 2019.
- Revenue from trading-related fees, which made up 25.34% of operating revenues, went down by ₱70.22 million or 17.67%. This was brought about by ₱72.66 million or 69.25% decline in subscription fees, ₱1.13 million or 0.95% lower data feed income partially reduced by ₱3.58 million or 2.06% higher transaction fees in view of a similar percentage increase in total value turnover to ₱1.77 trillion from ₱1.74 trillion in 2018. Consequently, service fees likewise increased by 2.06% from ₱310.15 million to ₱316.53 million.

Total expenses (cost of services and administrative expenses) of the Company declined by 4.86% or ₱37.03 million from ₱762.03 million in 2018 to ₱725 million in 2019. The following were the significant changes in expense items:

- depreciation expenses, 24.84% of total expenses, went up by 19.63% or by ₱29.55 million primarily due to the impact of depreciation of the right-of-use (ROU) assets of ₱16.93 million for the period in compliance with PFRS 16 on Leases as well as the depreciation of land rights, newly acquired office furniture and fixture and office equipment and trading system equipment.
- professional fees, 10.49% of total expenses, went up by ₱6.26 million or 8.96% due to higher consultancy fees and special time billings of external counsel;
- taxes and licenses, 3.16% of total expenses, increased by ₱13.10 million or 133.99% primarily due to documentary stamp related to the acquisition of BGC office;

- market development expenses went up by 240.79% or by ₱2.39 million mainly due to higher costs incurred for strategic marketing initiatives;
- insurance went up by 14.75% or ₱0.24 million due to lower premium of directors' and officers' liability insurance;
- donations and contributions increased by ₱2.5 million due to donations to accrued donation to the BGC walkway project in 2019; and
- Other expenses went up 42.09% or ₱3.44 million mainly due to the cost of filing fees paid in 2019 to the Securities and Exchange Commission and Philippine Competition Commission in relation to the incorporation of PSE Realty Company.

The above increases were significantly offset by the reductions in the following accounts:

- occupancy costs, 7.04% of total expenses, was lower by 51.09% or by ₱53.33 million mainly due to the termination of rental of the Tektite office and the adoption of PFRS on Leases. Please see Note 26 of the Consolidated Financial Statements;
- there was no similar provision for streamlining program for 2019 as the ₱20 million in 2018 since the program was completed as at the end of 2019;
- repairs and maintenance, 14.54% of total expenses, went down by ₱17.74 million or 14.41% mainly due to the termination of the license agreement of the former front-end of the online trading system starting November 2018;
- trading participants' development expenses went down by 13.31% or ₱0.80 million due to lower costs incurred for lounge supplies and annual stockholders meeting;
- amortization of computer software decreased by ₱1.68 million or by 100% since the software was fully amortized as of April 2018;
- meetings and conferences declined by 5.87% or ₱0.07 million due to lower number of board meetings;
- travel and transportation expenses decreased by 57.25% or ₱2.82 million mainly due to lower costs incurred for transportation allowances compared with 2018 figures which included expenses related to the implementation of trading system project. In addition, foreign travel expenses was lower by ₱0.80 million for the current period.
- public relations went down by ₱1.96 million or by 24.90% due to lower expenses for ads and sponsorships, ASEAN CEO meeting, PSE anniversary and representation expenses; and
- office supplies went down by ₱3.14 million or by 52.28% due to lower costs incurred for printing services;

Other income of ₱310.78 million went up by 109.50% or by ₱162.44 million from last year's ₱148.34 million mainly due to ₱77.64 million higher interest income, ₱48.24 million higher mark-to-market gain on financial assets at FVTPL and ₱45.61 million higher equity in net income of an associate.

Net income after tax amounted to ₱679.29 million, down by 6.58% or ₱47.81 million from previous year's net income of ₱727.11 million.

Total assets as of December 31, 2019 amounted to ₱6.29 billion, lower by 5.04% or by ₱334.11 million from its level last year. The analyses of its components follow:

Cash and cash equivalents amounting to ₱3.13 billion, which was 49.70% of total assets.

Financial assets at fair value through profit or loss of ₱290.95 million, 4.63% of total assets, 24.49% of total investments, pertained mainly to the equity funds managed by Banco de Oro and Metro Bank under a purely discretionary mandate. The said mandate which was covered by an Investment Management Agreement started in April 2011.

Receivables and other current assets for 2019 amounted to ₱81.55 million and ₱54.51 million, respectively.

Short-term financial assets at FVOCI of ₱79.72 million, as of December 31, 2019, pertained to corporate bonds with interest rates of 4.16% to 5.00% and 5.63% to 6.00% which will mature in 2020 and 2019, respectively.

Long-term financial assets at FVOCI of ₱549.35 million, 8.73% of total assets, 46.24% of total investments, consisted of investments in retail treasury bonds, fixed income treasury notes, and corporate bonds which will mature starting 2021 to 2032.

Property and equipment of ₱1.25 billion, 18.40% of total assets, was up by ₱6.03 million or 0.48%.

Right-of-use assets of ₱71.06 million pertained to the lease of data recovery sites and office space of Premier Software Enterprise, Inc. in compliance with PFRS 16 on Leases. Please see Notes 2 and 26 to the Consolidated Financial Statements for more details.

Investment property of ₱140.31 million is the result of reclassification of land rights, building and building improvements of Exchange Plaza from "Property and equipment" account for the change in use of the property as evidenced by the end of the owner-occupation. In 2019, as a result of the revised purpose of the Exchange Plaza to be leased out to third parties, management revisited the nature of the unamortized land rights.

Investment in an associate, 4.26% of total assets and 22.55% of total investments, pertained to the 20.98% equity of PSE in PDS Holdings Corporation.

Pension asset amounting to ₱34.53 million, as at December 31, 2019, pertained to the fair value of the assets of the Parent Company's retirement plan, net of the present value of retirement obligation and asset ceiling under Amended PAS 19(R). The assets are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP has an unfunded noncontributory defined benefit retirement plan covering all regular employees. The benefits are accumulated based on years of service and compensation per year of credited service. CMIC, on the other hand, does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days' Pay for every year of credited service. The pension liability amounted to ₱20.71 million and ₱11.73 million in 2019 and 2018, respectively.

Deferred tax assets of ₱286.82 million pertained to the retrospective adjustment of the beginning balance of retained earnings and the corresponding recognition of contract liability for deferred listing fees in compliance with PFRS 15. Please refer to Notes 2 and 27 to the Consolidated Financial Statements.

Provision of ₱20 million pertained to the termination benefits payable to employees identified under the Parent Company's organizational streamlining program, the timing of settlement of which was not yet certain as at December 31, 2018. In 2019, the provision was reclassified to accrued expenses as a result of the finalization of the streamlining program.

Current liabilities of ₱640.55 million accounted for 10.18% of total liabilities and stockholders' equity,

The Exchange remained liquid with working capital of ₱2.99 billion or a current ratio of 5.67:1.

Total retained earnings amounted to ₱1.48 billion. This included the net income of ₱679.29 million, donated capital of ₱211.60 million and appropriated retained earnings of ₱121 million.

Capital Expenditures

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building.

As at December 31, 2018, the Building included in the property and equipment account of ₱96.21 million pertained to the cost of BGC office units and corresponding fit-out works.

As at December 31, 2019, the Building included in the property and equipment account of ₱1.06 billion pertained to the cost of BGC office units and corresponding fit-out works.

Liquidity

The Company had been paying its trade payables within the stated trade terms. As of December 31, 2019, the Exchange had no note, loan, or other indebtedness or financing arrangement requiring the Company to make payments.

On August 13, 2014, the Exchange's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion.

On October 7, 2014, the Exchange and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Exchange of BAP's 28.90% stake in PDSHC.

On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of ₱2.25 billion.

On May 27, 2015, the Exchange's BOD authorized the obtainment of a clean term loan in the total amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange has signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc. ("FINEX"), Whistler Technology Services, Inc. ("WTSI") and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 shares or 28.91%, 192,776 shares or 3.08%, 500,000 shares or 8.00% and 193,776 shares or 3.0844%, respectively.

On January 26, 2016, the Exchange submitted regulatory requirements to SEC.

On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed.

On June 15, July 6, August 25, September 26, 2017 and November 8, 2017, the Exchange has signed SPAs with the shareholders of PDSHC, such as BAP, WTSI, Investment House of Association of the Philippines ("IHAP") and Philippine American Life and General Insurance Co. ("Philam") and FINEX, for the newly proposed purchase by the Exchange of 1,466,800 common shares or 23.47%, 500,000 common shares or 8.00%, 36,446 common shares or 0.58%, 250,000 common shares or 4.00%, and 192,776 common shares or 3.08%, respectively.

On September 13, 2017, the Exchange's BOD authorized the obtainment of a one-year loan in the amount of 1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. As at December 31, 2017, there are no new loans availed by the Exchange.

On September 28, 2017, BOD of PDSHC declared cash dividends in the amount of 56 per share in favor of all shareholders on record as of June 30, 2017 payable on or before October 15, 2017.

On October 5, 2017, the Exchange entered into a loan agreement with Bank of Commerce amounting to 1,000.00 million. As at February 28, 2018, the Exchange has not yet made any drawdown to the loan.

On November 30, 2017, the proposed acquisition is deemed approved by the Philippine Competition Commission.

On January 12 and 15, 2018, the Exchange has signed SPAs with San Miguel Corporation ("SMC") and Tata Consulting Services Asia-Pacific Pte. Ltd. ("TCS") for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively.

On March 31, 2018, the SPAs with BAP, WTSI, IHAP, Philam, FINEX and SMC were automatically terminated due to the non-satisfaction of closing conditions on the target Closing Date. The SPA with TCS automatically lapsed on July 2, 2018.

Financial Statements

The Audited Consolidated Financial Statements of the Company as of December 31, 2020, 2019 and 2018, Audited Parent Financial Statements, and the Statement of Management's

Responsibility for Financial Statements are attached hereto and made integral parts hereof as Annexes "A," "B," and "C," respectively.

Key Performance Indicators

Financial Performance

				% Change	
	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2020</u> <u>vs.</u> <u>2019</u>	<u>2019 vs.</u> <u>2018</u>
Revenues	₱1,314,362,972	₱1,290,949,022	₱1,596,207,481	1.81	-19.12
Cost of Services	282,143,101	280,845,554	304,314,046	0.46	-7.71
Administrative Expenses	378,962,221	444,159,283	457,719,388	-14.68	-2.96
Other Income	212,718,184	310,775,104	148,339,442	-31.55	109.50
Net Income	656,812,425	679,291,135	727,105,904	-3.31	-6.58
Basic Earnings Per Share	8.08	8.33	8.86		
Diluted Earnings Per Share	8.08	8.31	8.84		

For the year ended December 31, 2020, operating revenues amounted to ₱1.31 billion. The Company's operating revenues, sourced mainly from listing-related, trading-related and service fees, increased by 1.81% or ₱23.41 million from the 2019 level. Listing-related fees, which comprised 45.23% of operating revenues, included listing fees, annual listing maintenance fees and processing fees. This revenue source went up by ₱9.75 million or 1.67%. Trading-related fees, which comprised 25.89% of operating revenues, increased by 4.03% or ₱ 13.18 million. This included subscription and data feed fees which likewise increased by 12.15% or ₱3.92 million and 8.02% or ₱9.43 million, respectively. Transaction fees from regular and block sales and SCCP fees, which both went down by 0.09%, decreased by ₱0.17 million and ₱0.30 million, respectively.

Cost of services of ₱282.14 million, expenses which were directly related to the core operations of the PSE Group, included compensation and other related staff costs, depreciation, office expenses, communications, repairs and maintenance and amortization of computer software. This account was higher by 0.46% or ₱1.30 million from previous year's ₱280.84 million. Administrative expenses for 2020 of ₱378.96 million went down by ₱65.20 million or 14.68% compared to last year's ₱444.16 million. Total expenses (cost of services and administrative) of ₱661.10 million posted a decline of 8.81% from last year's ₱725 million. Compensation and other related staff expenses represented 32.94% of the total. On the other hand, depreciation, repairs and maintenance, professional fees and occupancy costs made up 23.80%, 17.31%, 10.58% and 6.90% of total expenses, respectively.

Other income of ₱212.72 million was lower by 31.55% or by ₱98.06 million from last year's ₱310.78 million due to ₱84.85 million lower interest income and ₱30.92 million mark-to-market loss on financial assets at FVTPL.

For the year ended December 31, 2019, operating revenues amounted to ₱1.29 billion. The Company's operating revenues, sourced mainly from listing-related, trading-related and service fees, declined by 19.12% or ₱305.26 million from the 2018 level. Listing-related fees, which comprised 45.30% of operating revenues, included listing fees, annual listing maintenance fees and processing fees. This revenue source went down by ₱253.52 million or 30.24%. Trading-related fees, which comprised 25.34% of operating revenues, decreased by 17.67% or ₱70.22 million. This included subscription and data feed fees which were lower by 69.25% or ₱72.66 million and 0.95% or ₱1.13 million, respectively, and transaction fees, which went up by 2.06% or ₱3.58 million due to a similar percentage increase in trading volume. SCCP service fees, which contributed 24.52% to operating revenues, likewise increased by 2.06% or ₱6.38 million.

Cost of services of ₱280.84 million, expenses which were directly related to the core operations of the Company, included compensation and other related staff costs, depreciation, office expenses, communications, repairs and maintenance and amortization of computer software. This account was lower by 7.71% from previous year's ₱304.31 million. Administrative expenses for 2019 of ₱444.16 million went down by ₱13.56 million or 2.96% compared to last year's ₱457.72 million. Total expenses (cost of services and administrative) of ₱725.00 million posted a decline of 4.86% from last year's ₱762.03 million. Compensation and other related staff expenses represented 32.88% of the total. On the other hand, depreciation, professional fees and occupancy costs made up 24.84%, 10.49% and 7.04% of total expenses, respectively.

Other income of ₱310.78 million was higher by 109.50% or by ₱162.44 million from last year's ₱148.34 million due to ₱77.64 million higher interest income, ₱48.24 million higher mark-to-market gain on financial assets at FVTPL and ₱45.61 million higher equity in net income of an associate.

The net income for 2019 amounted to ₱679.29 million which was 6.58% lower than the net income for 2018 of ₱727.10 million.

For the year ended December 31, 2018, operating revenues amounted to ₱1.60 billion. The Company's operating revenues, sourced mainly from listing-related, trading-related and service fees, went up by 30.25% or ₱370.69 million from the 2017 level. Listing-related fees,

which comprised 52.52% of operating revenues, included listing fees, annual listing maintenance fees and processing fees. This revenue source went up by ₱343.35 million or 69.37%. On the other hand, trading-related fees, which comprised 24.90% of operating revenues, increased by 18.50% or ₱ 62.04 million. This included subscription and data feed fees which grew by 109.25% or ₱54.78 million and 32.91% or ₱29.41 million, respectively, and transaction fees, which went down by 11.31% or ₱22.15 million due to a similar percentage decline in trading volume. SCCP service fees, which contributed 19.43% to operating revenues, likewise decreased by 11.31% or ₱39.56 million.

Cost of services of ₱304.31 million, expenses which were directly related to the core operations of the Company, included compensation and other related staff costs, depreciation, office expenses, communications, repairs and maintenance and amortization of computer software. This account increased by 23.45% from previous year's ₱246.51 million. Administrative expenses for 2018 of ₱457.72 million went up by ₱111.37 million or 32.16% compared to last year's ₱ 346.35 million. Total expenses (cost of services and administrative) of ₱ 762.03 million posted an increase of 28.54% from last year's ₱ 592.86 million. Compensation and other related staff expenses represented 30.32% of the total. On the other hand, depreciation, occupancy costs and professional fees made up 19.76%, 13.70% and 9.16% of total expenses, respectively.

Other income of ₱148.34 million was lower by 63.46% or by ₱257.59 million from last year's ₱405.93 million mainly due to ₱252.52 million gain realized from the sale of Tektite Office in 2017.

The net income for 2018 amounted to ₱727.10 million which was 12.19% lower than the net income for 2017 of ₱828.08 million.

Basic and Diluted Earnings Per Share are computed as follows:

	2020	2019	2018
Net income (a)	₱656,812,425	₱679,291,135	₱727,105,904
(b)Adjusted weighted average shares	81,648,885	81,809,909	82,020,286
(c)Adjusted weighted average shares - diluted	81,658,009	81,963,460	82,244,022
EPS: Basic (a/b)	₱8.08	₱8.33	₱8.86
Diluted (a/c)	8.08	8.31	8.84

Development of New Products and Services

Real Estate Investment Trust (REIT)

The Department of Finance (DOF), SEC, Bureau of Internal Revenue (BIR), and the Company launched the final amendments to the regulations governing REITs in a joint signing ceremony on January 20, 2020. This favorable development came as a result of the Company's and market regulators' conscious efforts in the past few years to clear the hurdles which have long deterred issuers from listing a REIT. Subsequent to the approval of the Amended Listing Rules for REITs, the Company published its Guidelines for Broker Eligibility to Trade REIT Securities on July 15, 2020. Similar to dollar denominated securities, trading of REIT securities requires trading participants to attend a REIT training session conducted by the Company and must issue a sworn certification to the Company attesting to its operational readiness. The TP shall also comply with the applicable requirements under the Name on Central Depository facility of the Philippine Depository Trust Corp. As of date, there are 121 eligible TPs to trade REIT securities.

On August 13, 2020, the Company welcomed the Ayala Land-sponsored REIT company, AREIT, Inc., as the first listed REIT in the Philippine stock market. AREIT raised a total of P13.57 billion, of which P1.29 billion were from its primary shares while P12.28 billion came from secondary shares. On March 24, 2021, DoubleDragon's DDMP REIT, Inc. also conducted its initial public offering and raised P14.71 billion from the issuance of its secondary shares. With the success of the first two issuances, several other property companies expressed their interest to conduct REIT listings in the medium term.

New PSE Website

Taking off from the website reskinning project in 2018, the Exchange worked on the revamp of its website. The new PSE website features a modern, intuitive and user-friendly interface and is optimized to be responsive on any browser and mobile device. To further enhance the overall experience of users, the navigation of the new website was streamlined and the content was reorganized to make them more purpose-centric.

Among the key content and features of the new website are: (1) convenient access to listing-related resources for potential listing applicants; (2) a new and improved charting tool; (3) enhanced display of broker information; (4) expanded market data products; and (5) centralized regulatory information.

The beta version of the new PSE website was made available to the public in February 2021.

Shari'ah-Compliant Listed Companies

The Company amended its Guidelines on the Screening of Securities for Shari'ah Compliance ("PSE Shari'ah Guidelines") effective April 20, 2020. This further aligned the PSE Shari'ah Guidelines with the recent change in the guidelines of its screening provider, IdealRatings Inc., to its Accounting and Auditing Organization for Islamic Financial Institutions ("AAOIFI") Shari'ah Rulebook. The change followed the amendment to AAOIFI Standard No. 59 pertaining to the exclusion of the cash and liquid assets ratio from their financial screening requirements.

Compliance

Prevention and control of COVID-19 in the workplace

Consistent with the Inter-Agency Task Force on Emerging Infectious Diseases' (IATF) guidelines and other statutory issuances, the Company implemented measures for the prevention and control of COVID-19 in the workplace. These measures include the adoption of minimum health standards such as the mandatory wearing of masks and face shields, hygiene and disinfection protocols, temperature checks, physical distancing, and installation of acrylic sneeze guards for the workstations of all employees who report on-site. The Company implements a one-trader per booth policy on the trading floor to ensure physical distancing and minimize contact rate. The Company also adopted various working arrangements such as work-from-home and rotational work shift arrangements to reduce building density and ensure physical distancing, and requires its employees who report on-site, traders, and guests to accurately accomplish the Daily Health and Safety Questionnaire for monitoring purposes. The Company likewise provided support through several health bulletins focusing on personal health management to prevent or mitigate the risk of acquiring COVID-19.

SEC Rules on the Number of Independent Directors and Sectoral Representatives of Exchanges and other Organized Markets

Pursuant to the Rules on the Number of Independent Directors and Sectoral Representatives of Exchanges and other Organized Markets issued by the Securities and Exchange Commission on August 11, 2020, the Company amended the Rules of the Nominations and Elections Committee to increase the required number of independent directors from at least three (3) members to at least five (5) members or one-third (1/3) of the members of the Board of Directors. The following independent directors were elected for the ensuing year: Jose T. Pardo, Consuelo D. Garcia, Former Chief Justice Teresita J. Leonardo-De Castro, Atty. Roberto Cecilio O. Lim and Vicente L. Panilio.

Compliance with Data Privacy Act of 2012

The Company assessed the effectivity of the policies and procedures it put in place to comply with the requirements of the Data Privacy Act of 2012 and its Implementing Rules and Regulations. Utilizing the results of this assessment process, the Company identified several action items with which it can improve its data protection measures. Further, the Company's Data Protection Officer reviewed its initial privacy impact assessment template and came up with a user-friendly but comprehensive template for this year's annual privacy impact assessment exercise.

Other Initiatives

Measures to Address Impact of COVID-19

The Company implemented various measures to address risks and volatilities posed by COVID-19. The Exchange decided to shorten trading hours in consideration of curfews imposed in various parts of Luzon during the community quarantine period. The move was also in alignment with the operational schedules of other market infrastructure providers including the Bangko Sentral ng Pilipinas and the Philippine Dealing and Exchange Corp. The shortened trading hours was implemented on March 19, 2020 and currently runs from 9:30 AM to 1:00 PM daily. To ensure that social distancing protocols are observed, the Company also temporarily closed the trading floor from March 19, 2020 until it was reopened for trading participants on June 1, 2020. The Company strictly observes the health and

safety guidelines prescribed by the Inter-Agency Task Force.

In its effort to address the market volatility triggered by the uncertainties surrounding COVID-19, the Company likewise amended its trading regulations. The rules on static threshold was amended to reduce the lower static threshold of individual stock prices from 50 percent to 30 percent of its previous closing price. Meanwhile, the upper static threshold of securities remained at 50 percent. The said changes took effect and were implemented on March 24, 2020. The Company also introduced a new three-level circuit breaker that would implement a 15-minute, 30-minute and one-hour trading halt when the PSEi falls by 10 percent, 15 percent and 20 percent, respectively. Each circuit breaker level can only be activated once per trading day. The multi-level circuit breaker became effective on May 4, 2020.

Amendments to Listing and Disclosure Rules

With the continuous changes in market practices and regulatory environment, the Company rationalized several requirements to attract more companies to list, strengthen investor protection, and increase market depth. The initiatives include: (1) guidelines on minimum public ownership requirement for initial and backdoor listings; (2) revisions to the mandatory lock-up rule for SME Board listing; (3) amendments to the voluntary delisting rules; and (4) amendments to rules on the criteria for listing on the Main Board and SME Board.

The Company also adopted the Sponsor program for SME listings to allow companies that are unable to satisfy the SME Board requirements to apply for listing. Through this program, the PSE-accredited listing sponsor will evaluate the applicant's suitability and shall endorse the listing application to the Company. The sponsor will be responsible for hand-holding the company from its IPO preparation phase to three years after listing to ensure that the company complies with the initial and continuing listing rules for all publicly listed companies.

In consideration of the business impact brought by COVID-19, the Company will likewise provide temporary relief to companies applying for listing in 2021 and 2022. The temporary relief shall include: a) time bound relief, where the Company may consider the profitability of the applicant company for any two fiscal years in the three most recent fiscal years, excluding the year of COVID-19 impact; b) minimum disclosure requirements, where the applicant company must fully disclose in the prospectus, among others, the adverse impact of the pandemic in its operations, expected duration of its effects in the company's business, recovery measures and business prospects in the next five years; and c) due consideration for COVID-19 impact in PSE evaluation.

Market Education

The Company strengthened its financial literacy campaign as it took advantage of the growth in digital technology amid the ongoing pandemic. During the year, the Company expanded its digital presence by increasing the frequency of its stock market webinars in lieu of physical seminars. The Company conducted fifteen webinars covering a broad range of topics including, among others, the basics of stock market investing, technical and fundamental analyses, investment opportunities, and new PSE product offerings. The webinars featured different resource speakers from various brokerage firms and financial institutions for each webinar session. The webinars reached a total of 442,400 people across 76 countries in 2020, with each webinar averaging at least 400 live viewers and 9,000 post-webinar viewers from Facebook and YouTube. The Company also collaborated with both

government and private institutions to promote financial inclusion and stock market investing by educating their officers, employees, members and students.

In support of the International Organization of Securities Commissions and the SEC, the Company participated in the celebration of World Investor Week held from October 5 to 9, 2020. During the week, the Exchange published educational materials and produced short videos about the basics of stock market investing through the PSE's official social media accounts.

During the year, the Company also worked on the design of the new PSE Academy website, the official market education website of the Exchange. The PSE Academy will have a fully-automated self-paced e-learning platform featuring an online course composed of eight modules which are categorized under three levels: beginner, intermediate, and advance. The target launch for the new website is in the third quarter of 2021.

Upgrade of Clearing & Settlement System

In December 2019, the SCCP entered into a software license and maintenance agreement and a consultancy services agreement with Millennium IT Software (Private) Limited (Millennium IT), a subsidiary of the London Stock Exchange Group. The agreement will cover the customization, use and maintenance of the Millennium Post Trade solutions and Millennium Risk products, which will replace SCCP's current clearing and settlement, risk and collateral management systems. The installation of this new clearing and settlement system will enable SCCP to improve and enhance the services it provides to the market. The new clearing and settlement system is expected to go live in the first quarter of 2022.

Ongoing Plans and Programs for 2021

The Company's strategic plan, which covers the years 2020 to 2022, is anchored by three key themes – creating sources of sustainable liquidity; leveraging on technology; and embedding ESG best practices in its operations. The Company remains relentless in its pursuit of creating and sustaining a robust market through the introduction of new products and services as well as the expansion of both the listed company and investor bases. Technology continues to be at the core of the Company's ability to meet these objectives, with the domestic market and its various stakeholders being the ultimate beneficiaries of the digital journey that will underpin the Company's transformation into a stronger and more efficient stock exchange. Lastly, in line with the global thrust towards ESG investing, the Company steadfastly aims to become a champion of ESG in both its capacity as a market regulator and a listed company.

Key Activities

Following the success of the launch of the PSEi Total Return Index or TRI, the Company aims to develop new indices that would encourage more investors in the stock market and entice the creation of new ETFs and other index-linked funds. In 2021, the Company will work on developing indices that track the performance of mid-cap companies and high dividend issuers. Additionally, the implementation of a globally-benchmarked sector classification structure complements this initiative as indices may be developed based on the new sectors.

To facilitate more listings in the market, the Company will revitalize its marketing structure and adopt a more proactive approach in encouraging companies to list. The

Company's new comprehensive listing assistance program will be aligned with the amendments to the listing requirements for Main and SME (small and medium-sized enterprises) Board. The Company will work with underwriters and provide handholding programs to help prospective companies, particularly SMEs, prepare for their IPO. The Company also plans to amend existing rules for ETFs and Public Private Partnerships, with the aim of encouraging more transactions utilizing these regulations.

Significant changes on the technology side are also planned in the coming months, led by the transition to a new clearing and settlement system for the SCCP that would support multi-asset and multi-currency settlement and incorporate international best practices in risk management and other clearing and settlement services. The Company will also undertake several initiatives geared towards improving a stakeholder's end-to-end digital experience, particularly the implementation of PSE EASy Phase 2 which will integrate an online payment system for IPO subscriptions and extend the service to other forms of public offerings; an e-KYC platform which will enable the conduct of KYC process through an app in lieu of a face-to-face interaction with the broker; and a data analytics platform that will empower investors to learn and analyze data on their own. Enhancements to existing systems and automation of internal processes and services are also seen to further boost efficiency and productivity.

As a market regulator, the Company aims to strengthen its ESG commitment by providing solutions that would minimize its environmental footprint and encourage listed companies to adopt sustainable business practices. Forming part of the Company's sustainability initiatives is the incorporation of regular sustainability reports in its compliance plans; the development of an ESG index; and the alignment of its disclosure regulations with the SEC's Sustainability Reporting Framework.

Item 7. Financial Statements

The Statement of Management's Responsibility for Financial Statements, the Audited Consolidated Financial Statements and the Audited Parent Financial Statements of the Company as of December 31, 2020, 2019 and 2018 are attached hereto as Annexes "A," "B," and "C," respectively.

Item 8. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure/Independent Public Accountant

The external auditors of the Company is the accounting firm of SGV & Co. The engagement of SGV & Co. as external auditors was approved during the Annual Stockholders' Meeting in November 2020. Ms. Mariecris N. Barbaso is currently the Engagement Partner. The appointment of the external auditor is consistent with SRC Rule 68. The engagement partner or signing partner is rotated after every five (5) years of engagement. A two-year cooling-off period is observed in the re-engagement of the same signing partner.

The Company has not had any disagreements on accounting and financial disclosures with SGV & Co. during their engagement in 2020.

As regards the previous year, the Company did not have any disagreements on accounting and financial disclosures with SGV & Co during their engagement.

Representatives of SGV & Co. will be present during the annual meeting and will be given the opportunity to make a statement if so needed. They are also expected to respond to appropriate questions if needed.

The Board of Directors, upon the recommendation of the Audit Committee, composed of Vicente L. Panlilio (Chairman), Anabelle L. Chua, Ferdinand K. Constantino, Consuelo D. Garcia and Roberto Cecilio O. Lim, will recommend to stockholders the appointment of SGV & Co. as the Company's external auditor, with Sherwin V. Yason as the engagement partner at a fee of Php850,000.00 including audit of its subsidiaries.

III. CONTROL AND COMPENSATION INFORMATION

Item 9. Directors and Executive Officers of the Issuer

The Company amended its By-Laws on 17 May 2008 to incorporate the provisions of Rule 38 on Independent Directors of the Securities Regulation Code, as amended.

Directors

Name	Age	Citizenship	Position/Committee Membership
Jose T. Pardo	81	Filipino	Chairman of the Board Independent Director Corporate Governance Committee – Chairman Nominations and Elections Committee
Ramon S. Monzon	70	Filipino	President Chief Executive Officer Capital Markets Development Committee – Chairman
Diosdado M. Arroyo	46	Filipino	Capital Markets Development Committee Investments Committee
Emmanuel O. Bautista	60	Filipino	Investments Committee Risk Management Committee Capital Markets Development Committee
Anabelle L. Chua	60	Filipino	Capital Markets Development Committee Audit Committee
Francis C. Chua	72	Filipino	

Ferdinand K. Constantino	69		Audit Committee Risk Management Committee Investments Committee
Teresita J. Leonardo-De Castro	72		Independent Director Nominations and Elections Committee – Chairman Corporate Governance Committee
Consuelo D. Garcia	66		Independent Director Risk Management Committee - Chairman Audit Committee Capital Markets Development Committee
Eddie T. Gobing	65	Filipino	Risk Management Committee
Amor C. Iliscupidez	69	Filipino	Corporate Governance Committee Investments Committee Risk Management Committee Audit Committee
Edgardo G. Lacson	77	Filipino	Nominations and Elections Committee
Roberto Cecilio O. Lim	62	Filipino	Independent Director Audit Committee Risk Management Committee
Rolando Jose L. Macasaet	59	Filipino	Investments Committee Corporate Governance Committee
Vicente B. Panlilio	72	Filipino	Independent Director Audit Committee – Chairman Risk Management Committee Corporate Governance Committee
Wilson L. Sy	66	Filipino	Investments Committee – Chairman Capital Markets Development Committee
Eusebio H. Tanco	70	Filipino	Capital Markets Development Committee Investments Committee
Alejandro T. Yu	61	Filipino	Investments Committee Risk Management Committee Audit Committee
Ma. Vivian Yuchengco	67	Filipino	Corporate Governance Committee Capital Markets Development Committee

Key Officers

Name	Age	Citizenship	Position
Ramon S. Monzon	70	Filipino	President Chief Executive Officer
Omelita J. Tiangco	66	Filipino	Treasurer
Aissa V. Encarnacion	55	Filipino	Corporate Secretary
Roel A. Refran	47	Filipino	Chief Operating Officer
Rachelle C. Blanch	44	Filipino	Vice President and Head, Market Operations Division
Veronica Vicedo-Del Rosario	39	Filipino	Vice President and General Counsel
Philip A. Driz	52	Filipino	Vice President and Head, Technology Division
Roberto Jose R. Jimenez	55	Filipino	Assistant Vice President and Head, Finance Division
Mark Frederick V. Visda	38	Filipino	Assistant Vice President and Division Head, Capital Markets Development Division

A brief profile of each of the Company's Directors and Officers follow:

BOARD OF DIRECTORS

Jose T. Pardo **Chairman**

81. Mr. Pardo became an Independent Director of the PSE on January 26, 2011, and has been its Chairman since May 2011. He is the Chairman of the Corporate Governance Committee of the Exchange. He is also the Chairman of the Securities Clearing Corporation of the Philippines, a subsidiary of the PSE. He is an Independent Director and the Chairman of the Board of the Philippine Savings Bank, Philippine Seven Corporation, and Independent Director of JG Summit Holdings, Inc. and Del Monte Philippines. He is likewise a Director of Bank of Commerce, National Grid Corporation of the Philippines, Synergy Grid and Development Philippines, Inc., Monte Oro Grid Resources Corporation, League One Finance and Leasing Corporation and Araneta Hotels, Inc. Mr. Pardo held various positions in government including Secretary of the Department of Finance and Secretary of the Department of Trade and Industry. Mr. Pardo is Chairman of the Council of Business Leaders of the Employers Confederation of the Philippines, Philippine Chamber of Commerce, Inc., and Director of ZNN Radio Veritas Foundation. Mr. Pardo obtained his Bachelor of Science in Commerce and his Master's Degree in Business Administration at the De La Salle University in Manila. In February 2018, he was conferred an Honorary Doctorate in Finance by the De La Salle University.

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Ramon S. Monzon
President and CEO

70. Mr. Monzon is the President and Chief Executive Officer of The Philippine Stock Exchange, Inc. since May 2017 and the Company's Chairman of Capital Markets Development Committee. He is the concurrent President and Chief Executive Officer and Director of the Securities Clearing Corporation of the Philippines. He is a Trustee of the Securities Investors Protection Fund, Inc. He was an independent Director of the Exchange from 2015 to 2017. Mr. Monzon is also the President and CEO of Philippine Dealing System Holdings Corporation (PDSHC) and Director and Member of the Executive, Risk Oversight, Audit, Nomination and Remuneration and IT Steering Committees of PDSHC, Philippine Dealing & Exchange Corporation, Philippine Depository & Trust Corporation (PDTC) and Philippine Securities Settlement Corporation (PSSC). He is currently a Director of PCD Nominee Corporation. Mr. Monzon was the Vice Chairman of PDSHC from September 2017 to April 2018 and Acting Chairman of PDEX, PDTC and PSSC from August 2018 to April 2019. Mr. Monzon is the Chairman and President of PH GSA, Inc., Xpert Air Services, Inc., Karilagan Int'l Travel & Tours Corp., and Carousel Productions, Inc. From October 1995 to March 2012, he was the Vice Chairman and Chief Operating Officer of Citadel Holdings, Inc. and served as President and CEO of Citadel's subsidiaries which included companies in aviation services, airline passenger and cargo general sales agency. He was the President and CEO of Pacific Rim Export & Holdings Corp. from 1988 to 1995 and was the EVP and Chief Operating Officer of Radio Philippines Network, Intercontinental Broadcasting Corp, Banahaw Broadcasting Corp and Sining Makulay, Inc. from 1984 to 1986. He was also a Partner at SyCip Gorres Velayo & Company from 1982 to 1984. Mr. Monzon holds a Master of Business Administration degree from the Chicago Booth School of Business, a Bachelor of Arts degree major in Political Science from the Ateneo de Manila University, and a Bachelor of Science degree major in Accounting from the Manuel L. Quezon University. He is a Certified Public Accountant and a Fellow of the Institute of Corporate Directors.

Diosdado Macapagal Arroyo

46. Mr. Arroyo was elected a broker-director of the Company in 2020. He is a member of the Committees on Investments and Capital Markets Development, and also serves on the Board of the Securities Clearing Corporation of the Philippines. Mr. Arroyo is the President of Securities Specialists, Inc., an Exchange-accredited stockbrokerage firm that has been around since the 1970s. He is also currently on the Board of various companies and foundations, such as Lourdes T. de Arroyo Holdings, Creekside Healthcare Services, PayNet International Technology, Link2Progress Microfinance, LTA Foundation, and the Amigo Foundation. Mr. Arroyo was also a member of Congress, serving in the Lower House as a representative of Camarines Sur for the three consecutive 3-year terms. He is a proud alumnus of the Ateneo de Naga University, where he graduated with a degree in Business Administration, minor in Legal Management.

Anabelle L. Chua

60. Ms. Chua first became a Director of the PSE in 2004 and served as a non-broker director until May 2010. She was elected in May 2011 and has served as a non-broker director since then. She is a member of the Exchange's Audit and Capital Markets Development Committees. She has been the Chief Financial Officer of the PLDT, Inc.* Group since May 2015, and the Chief Risk Management Officer since August 2018, and is concurrently the Chief Financial Officer of Smart Communications, Inc. from January 2021. She is currently a director of Manila Electric Company* and Chairman of its Finance Committee and a member of its Audit Committee, Risk Committee and Nomination and Governance Committee. Her

prior professional experience includes holding various positions at Citibank N.A. and the Solid Pacific Finance Ltd. in Hong Kong. Ms. Chua graduated Magna Cum Laude from the University of the Philippines with a degree in Business Administration and Accountancy and was a consistent University Scholar for ten semesters. She topped the Certified Public Accountant Licensure Examination in October 1982.

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Ferdinand K. Constantino

69. Mr. Constantino was elected to the PSE Board in 2020. He is a member of the Exchange's Audit, Investments and Risk Management Committees and sits on the Board of PSE's wholly-owned subsidiary, the Securities Clearing Corporation of the Philippines. A 46-year veteran in San Miguel Corporation (SMC)*, Mr. Constantino has been the company's Group Chief Finance Officer and Treasurer since 2001. He also sits on the Board of several SMC subsidiaries and units. Mr. Constantino serves as Chairman of San Miguel Foundation, Inc., SMCGP Philippines Power Foundation, Inc., SMC Stock Transfer Service Corporation and San Miguel Integrated Logistics Services, Inc. and Vice-Chairman of SMC Global Power Holdings Corp. A recipient of numerous accolades, he was named The Asset's Triple A Awards 2019 CFO of the Year Philippines and the ING-FINEX 2018 CFO of the Year. Mr. Constantino obtained his degree in Economics from the University of the Philippines and attended IMD - Switzerland for a Finance and Control course.

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Hon. Chief Justice Teresita J. Leonardo- De Castro (ret.) Independent Director

72. Chief Justice Teresita J. Leonardo-De Castro (ret.) was elected as an Independent Director of the PSE in 2020. She is the Chairman of the Exchange's Nominations and Elections Committee and a member of the Corporate Governance Committee. She also sits on the Board of the Securities Clearing Corporation of the Philippines, Top Frontier Investment Holdings, Inc.* and San Miguel Corporation* as Independent Director and serves as Consultant of the Supreme Court Committee on Family Courts and Juvenile Concerns. Chief Justice De Castro's career in public service, which spanned over four decades, was spent with the judiciary and executive branches of government. She started at the Supreme Court as a law clerk. She was transferred to the Department of Justice, where her 19-year stint culminated with her appointment as Assistant Chief State Counsel. Chief Justice De Castro rejoined the judiciary in 1997 when she was appointed to the Sandiganbayan as Associate Justice and eventually promoted to Presiding Justice. A decade later, her career came full circle with her return to the Supreme Court as Associate Justice. Her illustrious career was capped with her appointment as Chief Justice of the Supreme Court in 2018. Chief Justice De Castro was Vice-President, President-elect and President consecutively of the International Association of Women Judges (IAWJ) from 2010 to 2016, with each elected position having a two-year tenure. She was a member of the IAWJ Executive Council from 2016 to 2018. She was also elected President of the Philippine Women Judges Association from 2009 to 2018. She was designated Chairperson of the Special Committee for the 2015 Bar Examinations. Chief Justice De Castro was awarded the Presidential Medal of Merit in 1998 by then Philippine President Fidel V. Ramos and the Chief Justice Hilario G. Davide Judicial Reform Award in 2005. Chief Justice De Castro graduated from the University of the Philippines with a Bachelor of Arts, cum laude, and Bachelor of Law on the top four of her class. She was elected to lifetime membership in the Phi Kappa Phi International Honor Society and the Pi Gamma Mu International Honor Society in the Social Sciences for

outstanding academic accomplishments in her Bachelor of Arts and Bachelor of Laws courses. She attended law courses in the International Law Institute in Washington D.C. and Harvard Law School's Program of Instruction for Lawyers in Massachusetts, USA.

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Consuelo D. Garcia
Independent Director

66. Ms. Garcia, a prominent and veteran banker, was elected to the PSE Board in 2020 as an Independent Director. She is the Chairman of the Exchange's Risk Management Committee and a member of its Audit and Capital Markets Development Committees. Ms. Garcia also sits as an Independent Director of AC Energy Corporation*, Sun Life Management and Trust Corporation and FEU Alabang, Inc. She is a director and minority shareholder of two family owned corporations: Murrayhill Realty Development Corporation and Saje Wellness Corporation. She is a Board Member of the Financial Executives Institute of the Philippines (FINEX), Trustee of FINEX Academy of the Philippines, Trustee/Independent Director of ING Foundation Philippines, Inc, a member of the Filipina CEO Circle and a Fellow of the Institute of Corporate Directors. She also serves as Senior Consultant of ING Bank on the roll-out of an all-digital retail banking platform in the Philippines. Ms. Garcia started her ING Bank N.V. Manila career in 1991 as Head of Financial Markets and eventually served as its Country Manager and Head of Clients from September 2008 to November 15, 2017. Prior to joining ING, she worked with SGV and Bank of Boston, Philippine branch. A Certified Public Accountant, Ms. Garcia graduated Magna Cum Laude from the University of the East with a degree in Business Administration, major in Accounting.

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Eddie T. Gobing

65. Mr. Gobing has been a PSE Director since 2001 and has held various positions in the Exchange since 1998. He is a member of the Exchange's Risk Management Committee. He has also been a Director of the Securities Clearing Corporation of the Philippines since 2008. Mr. Gobing is a Trustee of the PSE Foundation. He is the Treasurer of the Manila Stock Exchange Foundation. Mr. Gobing is the President of Lucky Securities, Inc., and E.G. & Sons Insurance Agency Inc.; Chairman of Jacqui Foods Corp., G.G. Food Chain Corp., and J.G. Food Corp.; and President of Teishoku Dining Concepts, Inc. He also serves as Director, Treasurer and Finance Committee Chairman of Wack Wack Golf & Country Club. Mr. Gobing graduated with a Bachelor of Science degree in Management from the University of Santo Tomas.

Rolando Macasaet

59. Mr. Macasaet became a PSE Director in July 2019. He is a member of the Exchange's Investments and Corporate Governance Committees. He is currently the President and General Manager and concurrent Vice Chairman of the Board of the state-pension fund Government Service Insurance System (GSIS). Mr. Macasaet has extensive experience in the fields of banking, financial services and corporate governance – both in the Philippines and abroad. Prior to his stint in GSIS, he served as Director of the Asian Infrastructure and Investment Bank (AIIB) in Beijing, China. He was also *Vice President and General Manager* of the Philippine National Bank (PNB) in Los Angeles, California and eventually appointed as the *Regional Vice President* of PNB for the entire ASEAN region. In the field of corporate

governance, Mr. Macasaet served as Chairman and/or Board Director, President and CEO of various corporations in the Philippines - both in the public and private sectors. He served as Board Director in San Miguel Food and Beverage Corporation, Bank of Commerce, Philippine Commercial International Bank (PCI Bank) and the Private Infrastructure and Development Corporation (PIDC). He also headed a number of Government-Owned and Controlled Corporations (GOCCs) in the country, such as the Philippine National Construction Corporation (PNCC), Skyway Corporation and the Philippine Postal Savings Bank (now Overseas Filipino Bank) as its President and Vice Chairman. Mr. Macasaet holds a degree in Business Economics (*cum laude*) and a Masters degree in Business Administration (Honors program) from the University of the Philippines (UP). He likewise completed the *Executive Program on Finance* of Columbia University in New York and the diploma program on *Management Development* of the Harvard Business School in Boston. He completed his elementary and high school education at the Ateneo de Zamboanga, graduating with top honors as class valedictorian.

Edgardo G. Lacson

77. Mr. Lacson first served as PSE Director from 2011 to April 2018. He was re-elected to the PSE Board in 2019. He has been a member of the Exchange's Nominations and Elections Committee since 2018 and also sits on the Board of the Securities Clearing Corporation of the Philippines. Mr. Lacson was Chairman of the PSE Bell Awards for Corporate Governance for five years. Mr. Lacson is the Chairman of the Employers Confederation of the Philippine, an Honorary Chairman of the Philippine Chamber of Commerce and Industry, where he spearheaded the committee on capital market, and a member of the Philippine Nippon Kyokai Technical. Mr. Lacson is an Independent Director of Puregold Price Club, Inc.* and Global Ferronickel Holdings, Inc.* He is the President of MIS Maritime Corporation, Safe Seas Shipping Agency and Marine Industrial Supply Corporation. He is also the Chairman of Metrostore Corporation. Mr. Lacson is a Trustee of the Philippine Interisland Shipping Association, Philippine Petroleum Sea Transport Association, and the Management Association of the Philippines. He was a former Trustee of the Home Development Mutual Fund and the De La Salle University. He finished his Bachelor of Science in Commerce degree major in Accounting from De La Salle College.

Roberto Cecilio O. Lim **Independent Director**

62. Atty. Lim has been an Independent Director of PSE since 2019. He is a member of the Exchange's Audit Committee and the Risk Management Committee. He is an independent director of Asian Terminals, Inc. and Atlas Consolidated Mining and Development Corporation. He is Chairman of InteliConsult Corporation, Vice Chairman and Executive Director of Air Carriers Association of the Philippines, and Of Counsel of Creencia Carillo Velasco Law. He served as Undersecretary of the Department of Transportation for Aviation and Airport from 2016 to 2017. He initially practiced law in ACCRA Law and practiced law in London and Sydney. He was Vice President, General Counsel and Corporate Compliance Officer of Philippine Airlines Inc. until 2008. Subsequently, Atty. Lim was the Country Head of the International Air Transport Association (IATA) Philippines. He also taught Transportation Law, Administrative Law and Corporate Governance at the joint MBA/Law degree of the De La Salle University and Far Eastern University. He currently lectures in the Lyceum of the Philippines University College of Law. Atty. Lim was educated in Xavier School and graduated from the De La Salle University with a Bachelor of Arts degree in History and Bachelor of Science degree in Commerce. He obtained his law degree from the University of the Philippines College of Law and his Master of Laws (LL.M) from Kings' College, University of London. He is a graduate of the Australian Institute of Corporate Directors (GAICD) and

member of the Institute of Corporate Directors in the Philippines.

Vicente L. Panlilio
Independent Director

72. Mr. Panlilio has been an Independent Director of PSE since 2017. He is the Chairman of the Audit Committee and a member of the Corporate Governance and Risk Management Committees. He also served as PSE Independent Director partially in 2009. Mr. Panlilio was formerly the Chief Operating Officer and a member of the Advisory Board of Far East Bank and Trust Company, and a Board Director at the Philippine National Bank, Equitable-PCI Bank and Bank of Commerce. He also served as a Director of Manila Electric Company* and is an incumbent Director of San Fernando Electric Light and Power Company and Balibago Water Systems. Mr. Panlilio graduated from the University of the Philippines and also attended the Asian Institute of Management for the Advanced Bank Management Program.

Wilson L. Sy

66. Mr. Sy has been a broker director since 2016. He is a stock market veteran with over four decades of professional experience. He is the Chairman of Wealth Securities Inc. Mr. Sy served as the Chairman of the Manila Stock Exchange from 1994 to 1999 and the Philippine Stock Exchange from 1996 to 1998. He was re-elected as PSE Director in 2016. He is a member of the Exchange's Capital Markets Development Committee and Investments Committee. He is currently the Chairman of the Manila Stock Exchange Foundation. Mr. Sy is also the fund manager of Philequity Fund, one of the most successful and longest running mutual funds in the country. At present, Mr. Sy is a director for various companies such as Philequity Management, Vantage Equities, Vantage Financial Corp., and East West Bank. He is also member of Ateneo De Manila University Board of Trustees. Mr. Sy is a columnist for the business section of The Philippine Star and is the author of the book "Opportunity of a Lifetime."

Eusebio H. Tanco

70. Mr. Tanco has been a Director of the PSE since 2007 and is also a member of the Company's Investments and Capital Markets Development aCommittees. He is the Chairman of STI Education Systems Holdings, Inc.*, Delos Santos-STI College, Inc., Mactan Electric Company, Philippines First Insurance Co., GROW Vite, Eximious Holdings, Inc (formerly Capital Managers and Advisors, Inc.), Venture Securities, Inc., Prime Power Holdings, Inc., and IACADEMY. He is Chairman and President of Prudent Resources, Inc., the Vice Chairman and President of port operator Asian Terminals Inc.*, Director of Leisure & Resorts World Corporation* and Philippine Racing Club* as well as President of of Bloom with Looms Logistics, Inc., Total Consolidated Asset Management Inc., Tantivy Holdings, Inc. (formerly Insurance Builders, Inc.), Biolim Holdings and Management Corp., EujoPhils., Inc., First Optima Realty Corporation and a member the board of, PhilhealthCare, Inc., Maestro Holdings, Inc., Philippine Life Financial Assurance Corporation, Philplans First, Inc., United Coconut Chemicals, Inc., STI-West Negros University, and Philhealth Educators, Inc. He is also the Executive Committee Chairman of STI Education Services Group, Inc. and Founding President of Global Resource for Outsourced Workers. His extensive corporate experience covers financial services, manufacturing, transportation and logistics, energy, property development, ICT-enabled education and services. His professional associations include the Philippines-UAE Business Council, Thailand-Philippines Business Council, Inc., and Philippine Chamber of Commerce and Industry. Mr. Tanco holds a Master of Science degree in Economics from the London School of Economics and Political Science. He finished his undergraduate studies at the Ateneo de Manila University.

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Ma. Vivian Yuchengco

67. Ms. Yuchengco has been a Director of the PSE since 2004. Previously, she was a Director during these periods: 1993-1994, 1996, 1998, and 2000-2001. She is a member of the Corporate Governance, Capital Markets Development, and Membership Committees of the PSE. She served as PSE Chairman from 2002 to 2003. In 1989, Ms. Yuchengco became the first woman to be elected as President of the Makati Stock Exchange. In 2000, serving as one of the Board of Trustees of the Securities Investors Protection Fund, she co-chaired the committee that worked towards the demutualization of the PSE. She is currently the Chairperson of The Philippine Association of Securities Brokers and Dealers, Inc. Ms. Yuchengco studied Economics in Newton College of Sacred Heart in Boston, Massachusetts. She has her own brokerage firm, The First Resources Management and Securities Corporation, which she manages and has been in operation for 41 years now.

Omelita J. Tiangco
Treasurer

66. Ms. Tiangco has been the Treasurer of the Exchange since May 2010. She was a Director of the Company from August 2006 to March 2010 and from May 2010 to April 2011, and was a member of the Exchange's Corporate Governance and Audit Committees. She has likewise been the Treasurer of Securities Clearing Corporation of the Philippines and Capital Markets Integrity Corporation since June 2010 and June 2013, respectively, and Director and Treasurer of Premier Software Enterprise, Inc. since March 2019. She served as Executive Vice-President & Chief Finance Officer of the Government Service Insurance System (GSIS) from September 2004 to February 2010. Prior to that, she held various positions in GSIS such as Senior Vice President-Fund Management Group, Senior Vice-President-Internal Audit Group and Vice-President & Controller. She likewise served as President of the GSIS Mutual Fund, Inc., Director and Treasurer of GSIS Family Bank and Controller of GSIS Properties, Inc. Ms. Tiangco holds a Master's degree in Business Administration from the De La Salle University and a Bachelor of Science in Commerce degree from Arellano University. She is a Certified Public Accountant and is a fellow of the Institute of Corporate Directors.

Aissa V. Encarnacion
Corporate Secretary

55. Atty. Encarnacion has been the Corporate Secretary of the Exchange and SSCP since February 2004 and a non-voting member of the Nominations and Elections Committee. She is a Partner of Zamora and Poblador Law Offices. She is a professorial lecturer at the University of the Philippines College of Law and Cesar Virata School of Business. Before she assumed her present PSE post, she was the Assistant Corporate Secretary of the Exchange from 2000 to 2003 and Acting Corporate Secretary from 2003 to February 2004. She is a member of the Board of Directors of various private companies, a Trustee of Empowering Brilliant Minds Foundation, Inc. and acts as Corporate Secretary for various companies. Prior to joining her present law firm, she was a Senior Associate of the Bengzon Narciso Cudala Jimenez & Liwanag Law Offices. She received her Bachelor of Laws and Bachelor of Science in Business Administration degrees from the University of the Philippines.

PSE MANAGEMENT COMMITTEE

Roel A. Refran
Senior Vice President and Chief Operating Officer

47. Atty. Refran is the Senior Vice President and Chief Operating Officer of the Exchange since 2012. He is a certified public accountant and a lawyer. He started as General Counsel of the Exchange in 2005 and was the concurrent head of the Issuer Regulation Division in 2010. He was an associate at SyCip Salazar Hernandez & Gatmaitan Law Offices from 1999 to 2001. Prior to joining the Exchange in 2004, he was an associate at Angara Abello Concepcion Regala & Cruz Law Offices. He was chief of staff of Senator Ralph G. Recto from 2001 to 2004. He is the Chairman and President of Philippine Fulbright Scholars Association. Atty. Refran earned his degree in Bachelor of Science in Business Administration and Accountancy (BSBAA), Magna Cum Laude, from the University of the Philippines and obtained his Juris Doctor (JD) degree, Second Honors, from Ateneo de Manila University School of Law. He placed in the top 20 of the May 1995 CPA board examinations. Atty. Refran is also a bar topnotcher having placed fourth highest in the 1999 bar examinations. He obtained his MBA degree, with specialization in capital markets and finance, from Emory University (USA) as a Fulbright Scholar. While at Emory University, he worked as an associate in the Emory Center for Alternative Investments and dealt with private equity, venture capital, hedge funds and other alternative investments. Atty. Refran has been inducted lifetime member of the Beta Gamma Sigma (international honor society in business), and Pi Gamma Mu (international honor society in social sciences). He was recognized as the 2014 Distinguished Alumni Awardee by the University of the Philippines Virata School of Business. Atty. Refran is a member of the Commercial Law Department of the Philippine Judicial Academy.

Rachelle C. Blanch
Vice President and Head of Market Operations Division

44. Ms. Blanch is Vice President and Head of the Market Operations Division of the Company since July 2008. She was promoted to the rank of Assistant Vice President in 2008 and to Vice President in April 2011. She was the Head of the Applications Development Department of the former Information Technology Division before the Market Operations Division was created in 2008. She has been with the Exchange for 22 years. Prior to joining PSE, Ms. Blanch was Project Implementor at the Computer Information System. She earned her ITIL 2011 Foundation Certificate in IT Service Management in 2015; ITIL Intermediate Certificate in IT Operational Support and Analysis in 2017, and IT Service Offerings and Agreements in 2018; and Prince2® Foundation Certificate in Project Management in 2017. In 2019, she attended the Project Management Institute Agile Certified Practitioner (PMI-ACP) Training. Ms. Blanch finished her Master's degree in Business Administration at the Graduate School of Business, De La Salle University. She graduated from the University of the Philippines with a Bachelor of Science Degree in Mathematics.

Veronica V. Del Rosario
Vice President and General Counsel

39. Atty. Del Rosario was promoted to Vice President from Assistant Vice President in June 2019. She has been PSE's General Counsel since May 2016. Atty. Del Rosario joined the Exchange in September 2010 as Legal Officer and later on appointed as the OIC of the Office of the General Counsel in 2015. Prior to joining the PSE, she was the Head of the Legal Department and the Division Manager of the Administrative & General Services Department at the Aurora Special Economic Zone Authority. She served as Associate at Jones & Associates, New York. She also held positions such as Associate Lawyer at

Mendoza Orozco & Bueno Law Offices in Olongapo City and as Junior Associate Lawyer at Ocampo & Manalo Law Firm in Makati City. She is a lecturer in the Certified Securities Specialist Course of PSE in partnership with De La Salle – College of Saint Benilde. Atty. Del Rosario earned her Bachelor of Laws and Bachelor of Science in Business Economics degrees at the University of the Philippines. She is a member of the Philippine Bar and New York Bar.

Philip A. Driz

Vice President and Head of Technology Division

52. Mr. Driz has been Vice President since June 2019. He was Assistant Vice President when he joined PSE in October 2015 to head Technology Division. He has more than two decades of experience in project management, application development, infrastructure management, information security, IT risk management, IT helpdesk, data center operation and vendor management. Before joining PSE in October 2015, Mr. Driz was a Delivery Lead at Accenture where he held various positions including Technology Service Delivery Head for Asia Pacific. He also served as Assistant Vice President of the Information Management Division at RCBC Savings Bank. He held various executive positions such as Chief Information Technology Officer at Fiji National Provident Fund, and Senior Assistant Vice President - Infrastructure Management Group at Philippine National Bank, among others. He graduated from the Manuel L. Quezon University with a Bachelor of Science Degree in Computer Science.

Roberto Jose R. Jimenez

Assistant Vice President and Head, Controllership & Treasury Division

55. Mr. Jimenez joined the PSE in February 2019. He has been in the field of finance for close to two decades. He was the Director of Engineering Fleet Management Commercial and Finance of Cebu Air, Inc. from August 2010 to January 2019. From 2002 to 2010, he served as Finance and Administration Head of various Citadel Holdings subsidiaries including Textron Corporation, Citadel Shipping Services, Inc., and Rapid, Inc., where he concurrently served as the Group Comptroller for Citadel Holdings port area group of companies. Prior to handling the Finance Departments of the subsidiaries, he was a Business Development Manager for Citadel Holdings, Inc. He obtained his Master's in Business Management degree from the Asian Institute of Management. He graduated with a Bachelor of Science in Industrial Engineering degree from the University of the Philippines.

Mark Frederick V. Visda

Assistant Vice President and Head, Capital Markets Development Division

38. Mr. Visda was appointed Head of the Capital Markets Development Division in January 2020. He served as Head of the Corporate Planning and Research Department (CPRD) from 2011 to February 2018, and OIC Division Head of CPRD and the Business Development and Market Data Business Departments from March 2018 to December 2019. Prior to this appointment, he was a Research Analyst of the Exchange from 2006 to 2010. In between his work at the PSE, he had a stint as Senior Research Analyst for Global Business Development at Baker & McKenzie Global Services. He was also a Management Trainee at Entertainment Gateway Group Corp. Mark obtained his Economics degree from the Ateneo De Manila University. He completed his coursework for MA in Economics from the same university.

Item 10. **Executive Compensation**

(a) **Compensation of Directors and Executive Officers**

The Chairman receives a per diem of P310,000.00 a month from January to November 2020 and P370,000.00 for December 2020. The other directors receive a per diem of P50,000.00 for each board meeting attended from January to November 2020 and P 75,000 for December 2020. The Corporate Secretary receives a per diem of P12,500.00 for each meeting attended.

The Chairman of the Board and the Corporate Secretary are not entitled to receive any salary or other annual compensation from the Company. The President, being a full-time officer, receives a fixed monthly compensation.

In 2020 the directors as a group received total aggregate per diem of Php13,200,000.

In 2019, the directors as a group received total aggregate per diem of Php15,855,000.

The Corporate Governance Committee studies, sets and reviews the compensation structure of the entire organization of the Company including the Board of Directors. Its members for the period January 2020 to October 2020 were Jose T. Pardo (Chairman), Amor C. Iliscupidez, Edgardo G. Lacson, Vicente Panlilio, Wilson Sy, Eusebio Tanco, and Ma. Vivian Yuchengco. During the Organizational Meeting on November 2, 2020, the following were elected as members of the Committee: Jose T. Pardo (Chairman), Teresita Leonardo-De Castro, Vicente Panlilio, Rolando L. Macasaet, and Ma. Vivian Yuchengco.

(b) **Summary Compensation Table**

The following table summarizes the actual aggregate compensation of the directors and officers of PSE in 2019 and 2020, and an estimate for 2021.

SUMMARY OF ANNUAL COMPENSATION (in Pesos)					
NAME AND POSITION	YEAR	SALARY	BONUS	OTHER COMPENSATION (Per Diem)	TOTAL
	2019 (Actual)				
Directors				Php 15,855,000.00	Php 15,855,000.00
CEO and 4 most highly compensated officers Monzon, Ramon S. <i>President and Chief Executive Officer</i> (May 6, 2018 – present) Refran, Roel A. <i>Senior Vice President</i> (Promoted eff: June 1, 2012) Blanch, Rachelle C. <i>Vice President</i> (Promoted eff: April 1, 2011) Driz, Philip A. <i>Assistant Vice President</i> (Hired eff: October 1, 2015) Del Rosario, Veronica V. <i>Assistant Vice President</i> (Promoted eff: May 11, 2016))		Php 35,639,939.64	Php 17,080,500.00	Php 0.00	Php 52,720,439.64

All other officers and directors as a group unnamed		7,739,156.46	2,288,333.33	0	10,027,489.79
Total		Php 43,379,096.10	Php 19,368,833.33	Php 15,855,000.00	Php 78,602,929.43
Note:					

SUMMARY OF ANNUAL COMPENSATION (in Pesos)					
NAME AND POSITION	YEAR	SALARY	BONUS	OTHER COMPENSATION (Per Diem)	TOTAL
	2020 (Actual)				
Directors				Php 13,200,000.00	Php 13,200,000.00
CEO and 4 most highly compensated officers Monzon, Ramon S. <i>President and Chief Executive Officer</i> (May 6, 2018 – present) Refran, Roel A. <i>Senior Vice President</i> (Promoted eff: June 1, 2012) Blanch, Rachelle C. <i>Vice President</i> (Promoted eff: April 1, 2011) Driz, Philip A. <i>Assistant Vice President</i> (Hired eff: October 1, 2015) Del Rosario, Veronica V. <i>Assistant Vice President</i> (Promoted eff: May 11, 2016)		Php 36,148,924.60	Php 18,832,518.04	Php 0.00	Php 54,981,442.64

All other officers and directors as a group unnamed		5,917,992.35	1,889,694.67	0	7,807,687.02
Total		Php 42,066,916.95	Php 20,722,212.71	Php 13,200,000.00	Php 75,989,129.66
Note:					

SUMMARY OF ANNUAL COMPENSATION (in Pesos)					
NAME AND POSITION	YEAR	SALARY	BONUS	OTHER COMPENSATION (Per Diem)	TOTAL
	2021 (Estimate)				
Directors				Php 16,365,000	Php 16,365,000
CEO and 4 most highly compensated officers		Php 37,513,347	Php 6,279,484	Php 0	Php 43,792,831
Monzon, Ramon S. <i>President and Chief Executive Officer</i> (May 6, 2018 – present)					
Refran, Roel A. <i>Senior Vice President</i> (Promoted eff: June 1, 2012)					
Blanch, Rachelle C. <i>Vice President</i> (Promoted eff: April 1, 2011)					
Driz, Philip A. <i>Assistant Vice President</i> (Hired eff: October 1, 2015)					
Del Rosario, Veronica V. <i>Assistant Vice President</i> (Promoted eff: May 11, 2016)					

All other officers and directors as a group unnamed		7,142,800	1,258,400	-	8,401,200
Total		Php 44,656,147	Php 7,537,884	Php 16,365,000	Php 68,559,031
Note:					

(c) Employment Contracts and Termination of Employment and Change in Control Arrangement

The Company has no special arrangements, special employment contracts, or change in control arrangements with its directors or officers. The stockholders elected all its directors and the board of directors appointed its current senior officers.

(d) Option Warrants and Options

The Company has no outstanding warrants or option agreements with its directors.

The Company has no outstanding warrants with its officers.

Title of Class	Name, Address of Record Owner and Relationship with Issuer	Depository Participants	Name of Beneficial Owner and Relationship with Record Owner	Citizenship	No. of Shares Held	Total No. of Shares	Percent
Common	*PCD Nominee Corporation - 37 th Floor, Tower 1, The Enterprise Center, 6766 Ayala Avenue, Makati City (no relationship)			Filipino		59,960,991	73.22%

		The First Resource s Managem ent & Securities Corp.		Filipino		7,877,761	9.62%
			Premier Capital Venture Corp. (no relationship)	Filipino	6,673,204 (8.16%)		
			Various Other Clients	Filipino	1,204,557 (1.47%)		
		Banco de Oro – Trust Banking Group		Filipino		7,173,200	8.76%
			PLDT Retirement Fund (no relationship)	Filipino	6,673,200 (8.16%)		
			Various Other Clients	Filipino	500,000 (0.61%)		
		Venture Securities , Inc.	Various Clients	Filipino		4,514,009	5.51%
		Lucky Securities , Inc.	Various Clients	Filipino		7,225,518	8.82%
		Governme nt Service Insurance System	GSIS Members (no relationship)	Filipino		6,673,201	8.15%

		BDO Securities Corporation	Various Clients	Filipino		4,597,843	5.61%
	*PCD Nominee Corporation - 37 th Floor, Tower 1, The Enterprise Center, 6766 Ayala Avenue, Makati City (no relationship)			Foreign		3,734,011	4.56%
Common	San Miguel Corporation Retirement Plan - San Miguel Avenue, Ortigas, Pasig City (no relationship)		San Miguel Corporation Employees	Filipino		7,555,200	9.23%

An Employee Stock Purchase Plan was approved by the stockholders in the annual meeting held last 2 November 2020. The Secretary's Certificate showing the lists of officers and employees who exercised their rights in 2020 under the ESPP and subscribed to 64,326 common shares for the 2019 1st offering, 69,024 common shares for the 2019 2nd offering, and 84,363 common shares for the 2020 offering, is attached hereto as **Annex "D."**

Item 11. Security Ownership of Certain Beneficial Owners and Management

a) Security Ownership of Certain Record and Beneficial Owners (of more than 5%) as of 31 march 2021.

There are no record and beneficial owners of more than 5% of the Company's securities as of 31 March 2021 except the following:

*PCD Nominee Corporation (PCNC) is a wholly owned subsidiary of Philippine Depository and Trust, Inc. (PDTC) and is the registered owner of the shares in the books of the Company's transfer agent. PDTC participants deposit eligible securities in PCD through a process called lodgment, where legal title to the securities is transferred and held in trust by PCNC and trading participants.

** We have no knowledge of the beneficial owners of these participants. As of date hereof, information on beneficial owners are still being obtained. Once obtained, the

Company can provide detailed information upon request.

There are no other individuals or corporations who are the beneficial owners of more than 5% of the Company's securities.

The Company has no knowledge of the specific persons who will be designated as the representatives of the foregoing during the annual stockholders' meeting.

(b) Security Ownership of Management as of 31 March 2021.

As of 31 March 2021, the following represent the security ownership of certain members of the Company's Board of Directors and Management:

Title of Class	Name of Beneficial Owner	Amount of Beneficial Ownership	Nature	Citizenship	Percent of Class
Common	Diosdado M. Arroyo	1	Direct	Filipino	**
Common	Emmanuel O. Bautista	2	Direct	Filipino	**
Common	Anabelle L. Chua	4	Direct	Filipino	**
Common	Francis C. Chua	4	Direct	Filipino	**
Common	Ferdinand K. Constantino	1	Direct	Filipino	**
Common	Consuelo D. Garcia	1	Direct	Filipino	**
Common	Eddie T. Gobing	2	Direct	Filipino	**
Common	Amor C. Iliscupidez	2	Direct	Filipino	**
Common	Edgardo G. Lacson	1	Direct	Filipino	**
Common	Teresita J. Leonardo-De Castro	1	Direct	Filipino	**
Common	Roberto Cecilio O. Lim	1	Direct	Filipino	**
Common	Rolando Jose L. Macasaet	1	Direct	Filipino	**
Common	Ramon S. Monzon	156,909	Direct	Filipino	**
Common	Vicente L. Panlilio	1	Direct	Filipino	**
Common	Jose T. Pardo	1	Direct	Filipino	**
Common	Wilson L. Sy	100	Direct	Filipino	**
Common	Eusebio H. Tanco	48	Direct	Filipino	**
Common	Alejandro T. Yu	4	Direct	Filipino	**
Common	Ma. Vivian Yuchengco	2,400	Direct	Filipino	**
n.a.	Aissa V. Encarnacion	0	n.a.	Filipino	n.a.
Common	Omelita J. Tiangco	50	Direct	Filipino	**
Common	Roel A. Refran	95,536	Direct	Filipino	**
Common	Rachelle C. Blanch	12,357 1,006	Direct Indirect	Filipino	**
Common	Veronica Vicedo-Del Rosario	4280	Direct	Filipino	**
n.a.	Philip A. Driz	0	n.a.	Filipino	n.a.
Common	Roberto Jose R. Jimenez	15,410	Direct	Filipino	**
Common	Mark Frederick V. Visda	3,947	Direct	Filipino	**
	Aggregate Amount	291,064 1,006	Direct Indirect		

Note:

"d" – direct ownership

"i" – indirect ownership

"***" – less than 1%

(c) **Voting Trust Holders of 5% or more**

As of 31 March 2021, no person holds more than five percent (5%) of the Company's outstanding capital stock under a voting trust.

(d) **Changes in Control**

There are no arrangements that may result in change in control of the Company.

There is no provision in the Company's Articles of Incorporation and By-Laws that may cause delay or deferment of, or in any manner, prevent a change in control of the Company.

No change in control of the Company has occurred since the beginning of the fiscal year.

(e) **Security Ownership of Foreigners**

As of 31 March 2021, 3,990,024 shares, which is equivalent to 4.87% of the total outstanding stock, are owned by foreigners.

Item 12. Certain Relationships and Related Transactions

The Company has not had any transaction in which any director, executive officer or stockholder or a member of the immediate family of the foregoing persons had a direct or indirect interest during the last two years except the transaction fees and other fees collected from trading participants-stockholders. A detailed explanation of these transaction fees is discussed in Note 29 of the Audited Financial Statements.

IV. CORPORATE GOVERNANCE

Item 13. Corporate Governance Initiatives

Corporate Governance and Sustainability Initiatives

In support of its advocacy and market-wide efforts to raise corporate governance standards in the Philippines, the Company conducted a number of initiatives in 2020. It also continued to pursue activities that are intended to strengthen its own corporate governance as a publicly listed company.

Board Assessment

The Company's Board Assessment Guidelines was approved on 22 March 2017 and the Board of Directors has annually conducted its individual and group assessment since then.

The Board Assessment is intended to evaluate the mix of skills, experience and other relevant qualities our Directors bring to the Board, and takes into account the individual director's ability to exercise independent judgment at all times and to contribute to the effective functioning of the Board. The Individual Assessment process also examines the ability of each Board member or Committee member to give material input at meetings and to demonstrate a high level of professionalism and integrity in the decision-making process.

The Board's effectiveness is assessed in the areas of composition, administration, accountability and responsibility, conduct, and performance.

3rd Bell Ringing for Gender Equality

On March 11, the Company commemorated the International Women's Month. The keynote speaker of the bell ringing event is the Ambassador of Austria to the Philippines and European Union's Gender Champion, Bitu Rasouljan. The Bell Ringing for Gender Equality was also attended by representatives of UN Women and UN Global Compact.

Further, as a sign of its commitment in promoting inclusive and diverse workplace, the Company became the first ASEAN stock exchange signatory of UN Women's Women Empowerment Principles.

7th SEC – PSE Corporate Governance Forum

The 7th SEC – PSE Corporate Governance Forum was held virtually on November 19 via Zoom platform. Over 900 representatives of publicly listed companies and accredited training institutions attended the said event.

NEDA Secretary Karl Chua delivered the keynote speech discussing the "Impact of COVID-19 to the Economy". The forum included two panel discussions: (1) Corporate Governance in the New Normal and (2) Social Opportunities and Resilience in Challenging Times. Also, Commissioner Kelvin Lester Lee discussed SEC regulatory updates and policy changes due to the pandemic.

Roundtable Discussion for Sustainability

The PSE hosted three virtual round table sessions on different sustainability topics for the publicly listed companies. In each session, the PSE invited two (2) resource person who can share their experiences and best practice regarding the topic:

Date	Topic	Resource Person
October 21	Gender Inclusive Workforce	Ms. Paola Marguerite Verayo HR Business Partner for Customer Retail Manila Electric Company Ms. Ma. Rosalyn Mesina Country Program Manager – WE Empower Asia UN Women Philippines
November 18	COVID-19 Response: Best Practices in the New Normal	Ms. Ma. Victoria Tan Head, Group Risk Management and Sustainability Unit Ayala Corporation Mr. Dave Jesus Devilles Vice President – Sustainability, CSR and Employee Relations
December 9	Achieving Climate Neutrality	Engr. Edgar Sabidong Chief Sustainability Officer Arthaland Corp. Ms. Agnes De Jesus Chief Sustainability Officer First Philippine Holdings Corp.

The event was attended by representatives of publicly listed companies. To encourage an open discussion among representatives, we limited the number of attendees to the minimum. We plan to host more roundtable discussions with publicly listed companies to openly discuss sustainability issues and topics. This is to raise the awareness of the publicly listed companies regarding sustainability.

Sustainability Report

The Company submitted its 2019 Sustainability Report in compliance to the SEC Memorandum No. 4, Series of 2019 on Sustainability Reporting Guidelines on June 30. The report provides a comprehensive set of sustainability data and management response in continuously improving the company's ESG (environment, social and governance) performance.

Aligned with previous sustainability reports, the Company still maintains a fully GRI compliant Sustainability Report housed internally.

Corporate Governance Training for Directors

Majority of the directors of the Company attended the 7th SEC-PSE Corporate Governance Forum. The director/s who was not able to attend the forum, attended a separate training that is accredited by the Securities and Exchange Commission.

ASEAN Corporate Governance Scorecard

The Company received recognition from the Institute of Corporate Directors with its 2019 ACGS submission in 2020. Last February 19, 2021, the ICD, along with the SEC, awarded the company two Golden Arrows for its 2019 submission.

Internal Sustainability Initiatives and Promoting Good Governance Practices in the Workplace

Throughout the year, the Company ensured that the practice of good governance is implemented within the Company's operations. Further, the Company implemented different initiatives, such as employee shuttle and vitamins allowance, to ensure that the employees are protected during the pandemic.

Compliance with Manual on Corporate Governance

The Company substantially adopted the provisions of its Manual on Corporate Governance for the calendar year ending 31 December 2020. A copy of the Certification of the Compliance with the Manual on Corporate Governance is attached hereto as **Annex "E."**

V. EXHIBITS AND SCHEDULES

Item 14. Exhibits and Reports on SEC Form 17-C

Various disclosures were reported using SEC Form 17-C from January to December 2020:

Date	Particulars
8 January 2020	Certification on the Corporate Governance Trainings attended by the Officers and Directors of the Company in 2019.
15 January 2020	Application of the proceeds, for the year ended 31 December 2019, of the stock rights offering ("SRO") of the Company equivalent to 11.50 million common shares listed last 22 March 2018
15 January 2020	Application of the proceeds, for the fourth quarter ending 31 December 2019, of the stock rights offering ("SRO") of the Company equivalent to 11.50 million common shares listed last 22 March 2018
23 January 2020	The Company bought 240,000 PSE shares from Regis Partners, Inc. at P181 per share, with total purchase price of P43,440,000.00, as part of the continuing efforts of the Company to reduce broker ownership to 20%.
26 February 2020	Approval of the Company's Audited Financial Statements as of 31 December 2019, as audited by the accounting firm of SGV & Company.
26 February 2020	Appointment of Mr. Rolando L. Macasaet, a director of the Company, as member of the Investment Committee effective immediately.
26 February 2020 (amended)	Approval of the Company's Audited Financial Statements as of 31 December 2019, as audited by the accounting firm of SGV & Company.
6 March 2020	Announcement of the Company's analysts' briefing on March 16, 2020 to discuss the Company's 2019 financial results.
6 March 2020	Change in the issued and outstanding shares of the Company due to an additional Sixty Four Thousand Three Hundred Twenty Six (64,326) shares obtained through the Employee Stock Purchase Plan (ESPP).
29 April 2020	Resetting of the Company's annual stockholders' meeting from 6 June 2020 to 4 July 2020.
29 April 2020	Amendment of the Bylaws to include a provision that allows meetings of the board and stockholders through remote communication, such as video conferencing, teleconferencing, or other alternative modes of communication in accordance with prevailing rules, regulations and guidelines.
10 June 2020	Application of the proceeds of the stock rights offering of the Company, equivalent to 11.50 million common shares listed last 22 March 2018.
24 June 2020	Postponement of the annual stockholders' meeting set on 4 July 2020.
29 July 2020 (Amendment 11 December 2019)	The annual stockholders' meeting of The Philippine Stock Exchange, Inc. (PSE) will be on 12 September 2020, Saturday, 8:00 a.m.

19 August 2020 (Amendment 11 March 2020)	Postponement of the annual stockholders' meeting of the Company until after the approval of the Nomelec Rules by the SEC.
28 August 2020	The Capital Markets Integrity Corporation, a wholly-owned subsidiary of the Company, declared cash dividend in the amount of Php25 million which the Company received today.
16 September 2020 (Amendment 11 December 2019)	The annual stockholders' meeting of The Philippine Stock Exchange, Inc. (PSE) will be on 14 November 2020, Saturday, 8:00 a.m.
30 September 2020 (Amendment 11 December 2019)	The annual stockholders' meeting of The Philippine Stock Exchange, Inc. (PSE) will be on 2 November 2020, Saturday, 8:00 a.m.
1 October 2020	Renewal of the Employee Stock Purchase Plan which will have a duration of three (3) years from 2021 to 2023 ("Proposed ESPP").
15 October 2020	Application of the proceeds for the third quarter ending 31 December 2020 of the stock rights offering ("SRO") of the Company equivalent to 11.50 million common shares listed last 22 March 2018.
2 November 2020	The Stockholders approved the appointment of Sycip Gorres Velayo & Co. (SGV) as the external auditor of the Company. Election of Directors, Officers, and Committee Members of the Company for the year 2020 to 2021. The Stockholders approved the renewal of the Employee Stock Purchase Plan ("ESPP").
25 November 2020	The Securities Clearing Corporation of the Philippines (SCCP), a wholly owned subsidiary of the PSE declared cash dividend in the amount of P150 million to its stockholders of record as of 25 November 2020, payable on 21 December 2020.
10 December 2020	An additional Sixty-Nine Thousand Twenty-Four (64,024) shares were issued to employees pursuant to the Employee Stock Purchase Plan (ESPP) and the three (3) additional qualifying shares were issued to new directors.

Attendance of Directors

The following is the attendance of the board of directors of the Corporation in meetings from **22 January 2020 to 21 October 2020**:

Name of Director	Total Meetings	Total Absent	Total Present
Jose T. Pardo - Chairman	11	0	11
Ramon S. Monzon - President & CEO	11	0	11
Emmanuel O. Bautista	11	0	11
Anabelle L. Chua	11	1	10
Francis Chua	11	0	11
Eddie T. Gobing	11	0	11
Amor C. Iliscupidez	11	0	11
Edgardo G. Lacson	11	0	11
Roberto Cecilio O. Lim	11	0	11
Rolando L. Macasaet	11	0	11
Vicente L. Panlilio	11	1	10
Wilson L. Sy	11	0	11
Eusebio H. Tanco	11	0	11
Alejandro T. Yu	11	0	11
Ma. Vivian Yuchengco	11	0	11

The following is the attendance of the board of directors of the Corporation elected on 2 November 2020 in meetings from **2 November 2020 to 16 December 2020**:

Name of Director	Total Meetings	Total Absent	Total Present
Jose T. Pardo - Chairman	2	0	2
Ramon S. Monzon - President & CEO	2	0	2
Diosdado M. Arroyo	2	0	2
Anabelle L. Chua	2	0	2
Teresita Leonardo-de Castro	2	0	2
Ferdinand K. Constantino	2	0	2
Consuelo D. Garcia	2	0	2
Eddie T. Gobing	2	0	2
Edgardo G. Lacson	2	0	2
Roberto Cecilio O. Lim	2	0	2
Rolando L. Macasaet	2	0	2
Vicente L. Panlilio	2	0	2
Wilson L. Sy	2	0	2
Eusebio H. Tanco	2	0	2
Ma. Vivian Yuchengco	2	0	2

The following tables show the attendance of directors in committee meetings for the year 2020.

AUDIT COMMITTEE:

DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Roberto Cecilio O. Lim – Chairman	4	0	4
Anabelle L. Chua	3	1	4
Amor C. Iliscupidez	4	0	4
Eusebio H. Tanco	3	1	4
Alejandro T. Yu	4	0	4

2 November 2020 onwards

DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Vicente Panlilio – Chairman	3	0	3
Anabelle L. Chua	3	0	3
Ferdinand Constantino	3	0	3
Consuelo Garcia	3	0	3
Robert Cecilio Lim	3	0	3

CORPORATE GOVERNANCE COMMITTEE

DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Jose T. Pardo	1	0	1
Amor C. Iliscupidez	1	0	1
Vicente L. Panlilio	1	0	1
Eusebio Tanco	1	0	1
Wilson L. Sy	1	0	1
Ma. Vivian Yuchengco	1	0	1
Edgardo G. Lacson	1	0	1

NOMINATIONS AND ELECTIONS COMMITTEE

DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Vicente L. Panlilio**	5	0	5
William Ang	6	0	6
Edgardo Lacson	6	0	6
Remy Tigulo	4	2	6
Aissa V. Encarnacion	6	0	6
Veronica V. Vicendo-Del Rosario	6	0	6

2 November 2020 onwards			
DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Teresita J. Leonardo-De Castro	1	0	1
Jose T. Pardo	1	0	1
William Ang	2	0	2
Edgardo Lacson	2	0	2
Remy Tigulo	1	1	2
Aissa V. Encarnacion	2	0	2
Veronica V. Vicendo-Del Rosario	2	0	2

VI. SUSTAINABILITY REPORT

A copy of the Company's Sustainability Report is attached as Annex "F."

SIGNATURES

Pursuant to the requirements of Section 17 of the Code and Section 141 of the Corporation Code, this report is signed on behalf of the issuer by the undersigned, thereunto duly authorized, in Taguig City on _____.

By:

RAMON S. MONZON
President and Chief Executive Officer

OMELITA J. TIANGCO
Treasurer

ROBERTO JOSE R. JIMENEZ
Head of Finance

AISSA V. ENCARNACION
Corporate Secretary

SUBSCRIBED AND SWORN to before me this MAY 10 2021, affiants exhibiting to me their Government Issued IDs as follows:

NAMES	GOVERNMENT ISSUED ID	DATE OF ISSUANCE/EXPIRY	PLACE OF ISSUANCE
RAMON S. MONZON	Passport No. P1152156B	21 MAR 2029	DFA Manila
OMELITA J. TIANGCO	Passport No. P8347970A	13 AUG 2028	DFA NCR South
ROBERTO JOSE R. JIMENEZ	Driver's License No. DOJ-88-634298	10 DEC 2022	Manila
AISSA V. ENCARNACION	IBP Roll of Attorneys No. 38589		

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Series of 2021.



PRANA RENEE S. PAMBID
Notary Public
Until December 31, 2020
Extended until June 30, 2021 per B.M. No. 5724
Roll of Attorneys No. 73047
PTR No. 8533813; 01-04-2021; Makati City
IBP No. 135006; 12-15-2020; Makati City
Admitted to the Bar in 2019
Notarial Commission No. M-544
5F Montepino Bldg., 138 Amorsolo St.,
Legaspi Village, Makati City

THE PHILIPPINE STOCK EXCHANGE, INC.

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